PDF version of the article coming soon.

PDF version of the article coming soon.

MARKETS OVERVIEW

Bond Markets

	in %	in bps			
	26/06/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.51	-6.1	-3.3	+42.1	+68.7
Bund 5Y	2.58	-8.0	-9.3	+11.8	+49.9
Bund 10Y	2.85	-10.4	-10.6	-1.4	+28.3
OAT 10Y	3.52	-6.8	-1.6	+2.5	+27.1
BTP 10Y	3.59	-8.4	-11.2	+8.9	+11.8
BONO 10Y	3.29	-9.1	-11.5	+4.4	+14.2
Treasuries 2Y	4.08	+2.1	+5.9	+60.2	+31.1
Treasuries 5Y	4.13	-5.8	-5.5	+40.4	+34.8
Treasuries 10Y	4.37	-1.2	-12.5	+20.0	+3.2
Gilt 2Y	4.13	-7.2	-18.4	+37.0	+29.9
Treasuries 5Y	4.28	-4.6	-14.9	+43.6	+33.2
Gilt 10Y	4.74	-3.9	-14.0	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	26/06/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.14	-1.8	-2.0	-3.0	-2.7
GBP/USD	1.32	-1.8	-1.9	-1.9	-3.9
USD/JPY	161.74	+1.0	+1.5	+3.2	+12.0
DXY	101.36	+1.7	+2.2	+3.1	+1.1
EUR/GBP	0.86	-0.0	-0.1	-1.1	+1.3
EUR/CHF	0.92	+0.2	+1.0	-0.9	-1.5
EUR/JPY	184.30	-0.9	-0.5	+0.1	+9.0
Oil, Brent ($/bbl)	72.01	-13.6	-27.7	+18.3	+6.3
Gold ($/ounce)	4080	-6.2	-9.5	-5.7	+22.8

Equity Indices

	Level	Change, %			
	26/06/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4744	-2.4	-1.8	+7.1	+19.1
North America					
S&P500	7354	-2.7	-2.2	+7.4	+19.8
Dow Jones	51876	+0.4	+2.8	+7.9	+19.6
Nasdaq composite	25298	-5.2	-5.1	+8.8	+25.4
Europe					
CAC 40	8385	+0.0	+2.6	+2.9	+11.0
DAX 30	24671	-0.9	-2.0	+0.7	+4.3
EuroStoxx50	6222	-0.1	+2.6	+7.4	+18.6
FTSE100	10508	+0.7	+0.2	+5.8	+20.3
Asia					
MSCI, loc.	1909	-1.1	+1.0	+13.0	+30.3
Nikkei 225	69361	+0.1	+6.7	+37.8	+75.2
Emerging					
MSCI Emerging ($)	1706	-3.3	-0.8	+21.4	+39.1
China	68	-9.4	-11.2	-17.5	-9.6
India	954	+1.1	+1.7	-9.8	-11.9
Brazil	1788	-0.5	-4.7	+8.7	+23.7

Performance by sector

Eurostoxx600

Year 2026 to 26-6, €

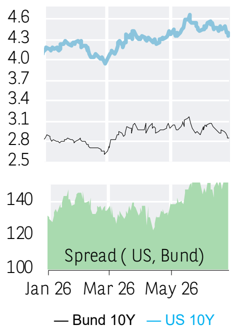
+20.9%	Technology
+18.2%	Oil & Gas
+16.4%	Commodities
+15.6%	Telecoms
+14.1%	Utilities
+12.0%	Chemical
+11.3%	Banks
+7.4%	**Eurostoxx600**
+7.1%	Food industry
+7.0%	Industry
+3.9%	Travel & leisure
+3.2%	Construction
+1.7%	Health
+1.6%	Real Estate
+1.5%	Insurance
+1.2%	Financial services
+0.6%	Retail
-6.4%	Consumption Goods
-7.8%	Media

S&P500

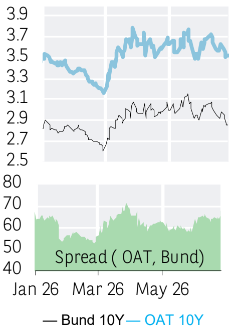
Year 2026 to 26-6, $

+37.5%	Semiconductors
+23.5%	Tech. Hardware & Equip.
+21.9%	Capital Goods
+19.5%	Energy
+12.6%	Materials
+11.6%	Food, Beverage & Tobacco
+8.9%	Pharmaceuticals
+8.3%	Utilities
+7.6%	Retail
+7.4%	**S&P500**
+4.9%	Bank
+0.6%	Insurance
+0.2%	Consumer Discretionary
-1.7%	Consumer Services
-2.5%	Media
-3.5%	Telecoms
-4.6%	Healthcare
-13.1%	Commercial & Pro. Services
-14.0%	Automobiles
-29.8%	Real Estate

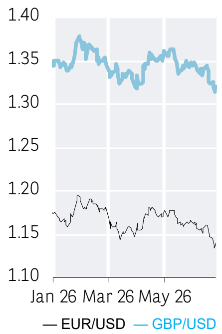
Bund 10Y & US Treas. 10Y



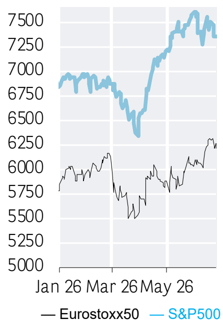
Bund 10Y & OAT 10Y



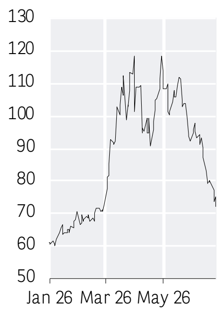
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500

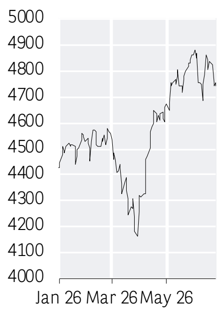


Oil, Brent ($/bbl)



Gold ($/ounce)

MSCI World ($)



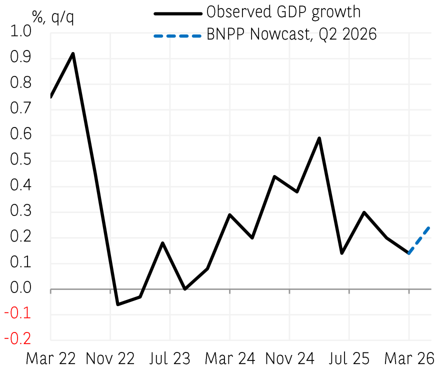
MSCI Emerging ($)

SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

The scenario, forecasts and nowcasts of the Economic Research – 29 June 2026

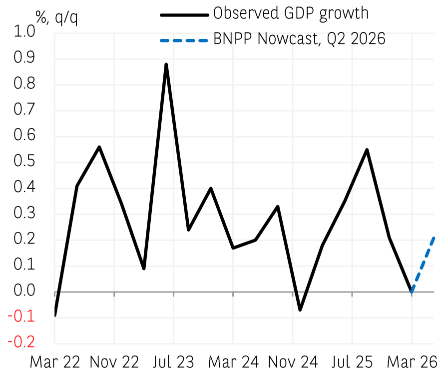
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



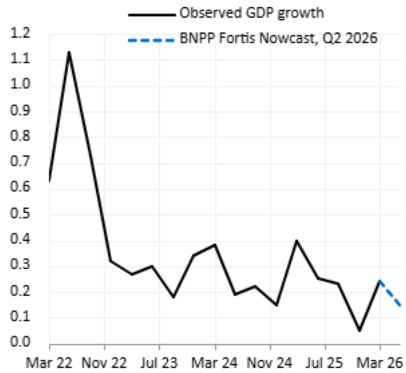
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been slightly revised higher on the back of the improvement in the PMI data in June. It still points to a 0.2% q/q increase in activity in Q2, against a forecast of 0.3% q/q.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a slight deterioration (0.15% q/q) from Q1. The momentum in the manufacturing sector is proving more resilient than first feared. Costs are rising faster than previously expected, especially in the service sector.

Read the Nowcast methodology
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	2025	2026 e	2027 e	Inflation 2024	2025	2026 e	2027 e
United States	2.8	2.1	2.3	2.4	2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.8	1.1	2.7	3.1	2.1	2.1
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.2	3.1
Euro Area	0.9	1.5	0.6	1.6	2.4	2.1	2.7	2.6
Germany	-0.5	0.3	0.8	1.1	2.5	2.2	2.3	1.9
France	1.1	0.9	0.8	1.1	2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	2.8	1.5
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.5	3.2
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.6
India*	7.1	7.7	3.7	6.8	4.6	2.1	5.1	4.3
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 29/06/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 26/06	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.37	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.25	2.25	2.50	2.50	2.50
	Bund 10y	2.85	3.15	3.20	3.35	3.10
	OAT 10y	3.52	3.77	4.00	4.17	3.60
	BTP 10y	3.59	3.85	3.95	4.10	3.60
	BONO 10y	3.29	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.00	4.00	3.50
	Gilts 10y	4.74	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.58	2.70	2.85	2.85	3.10

Exchange Rates		2026				2027
End of period		Spot 26/06	Q2	Q3	Q4	Q4
USD	EUR / USD	1.14	-	1.15	1.16	1.20
	USD / JPY	162	-	163	165	165
	GBP / USD	1.32	-	1.32	1.32	1.36
EUR	EUR / GBP	0.86	-	0.87	0.88	0.88
	EUR / JPY	184	-	187	191	198

Brent		2026				2027
Quarter Average		Spot 26/06	Q2	Q3	Q4	Q4
Brent	USD/bbl	72	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 29/06/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.3%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.7% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to start a cycle of three rate hikes (+25pb each) before the end of 2026, bringing the Fed Funds target range at 4,25% - 4,50% in Q1 2027.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before picking up at 1.6% in 2027. Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. Inflation would rebound to 2.7% in 2026 (compared to 2.1% in 2025) on the back of the energy shock and plateaued at 2.6% in 2027. As inflation rebounds, we continue to expect one further 25-basis-point hikes in the ECB's policy rate in Q3 2026– pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.4% in 2025; following +0.4% q/q in Q1, growth dipped to -0.1% m/m in April, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.2% y/y, and to remain sticky and well above BoE's target at +3.1% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a 25bp rate hike in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

We expect annual GDP growth to stand at 0.8% in 2026, down from 1.1% in 2025. Higher inflation and production costs associated with the energy shock are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy,wage growth, the benefits of AI-related investment. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 1.0% so far (previously negative) – the highest since 1995. We expect the process to extend, including one hike (25pb) in H2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.16 by Q4 2026 and 1.20 by Q4 2027. We anticipate a depreciation of the yen and the GBP against the dollar in 2026 (USD/JPY 165 and GBP/USD 1.32 by Q4 2026) and 2027.

Paris, 25 June 2026

EcoFlash

German Investment Plans: Reasons to Stay Optimistic

Over a year has passed since the German government announced substantial investment plans in defence and infrastructure. As we assess the situation in mid-2026, the implementation of these plans is progressing as we had anticipated. However, the current impact of these investments on growth is proving to be more subdued than expected (notably because a portion of the infrastructure funds has been used to finance government current expenditure). Nonetheless, the rebound in industrial orders is becoming evident, and the increase in intra-European trade directed towards Germany indicates that a positive momentum is developing.

The Government is implementing its investment plans, but a faster pace is required

In line with our projections at the start of the year (see our analysis), federal budget investment spending has reached 33% of its annual target, while defence spending stands at 29%, equating to 0.5% and 0.7% of GDP, respectively, based on the May figures released on 23 June by the Ministry of Finance. In addition to these federal budget items, off-budget spending has also seen a slight increase. The latter can be gauged through the gross borrowing accumulated since the start of the year for the Bundeswehr fund and the Special Fund for Infrastructure and Climate Neutrality (SVIK), which have reached 38% of their respective annual targets.

However, for the government to meet its military spending objective of 3.5% of GDP in 2026 (up from 2.6% in 2025)[1], an acceleration in implementation is essential. A similar situation exists in the infrastructure side, where the 2025 target was missed by EUR 13 billion.

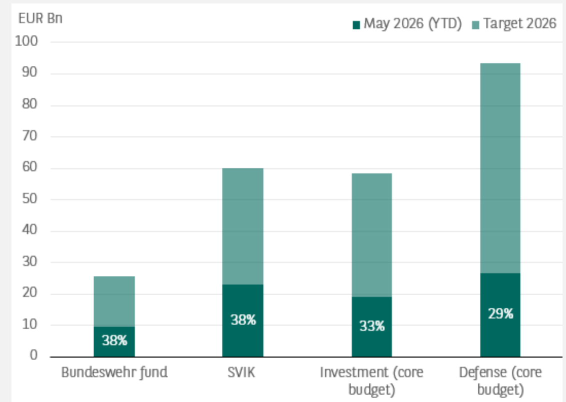
These plans aim to promote long-term economic growth, but the current level of spending does not align with this objective.

(i) Despite the increase in infrastructure spending, two German economic institutes (Ifo and IW), revealed that, in 2025, the SVIK largely financed current operating expenditure falling under the federal budget, rather than long-term investments. Such a reallocation has no positive impact on growth, even in the short term, as it finances expenditures that would in any case have been included in the federal budget.

(ii) The increase in defence spending has mainly been used to strengthen conventional military equipment and rebuild ammunition stockpiles over recent years, an effort that is essential given current security threats. However, the share allocated to new technologies has consequently declined. It is worth noting that the share devoted to R&D is increasing, albeit only gradually. Nonetheless, procurement processes have commenced, and these investments are expected to grow in the coming years.

(iii) The obstacles that have been accumulated – particularly those related to higher energy prices and the relatively low level of innovation in public investment – are dragging down the fiscal multiplier, bringing it below 1. This will hinder the plans' impact on economic activity in both the short and long term.

Investment Plan Disbursements: Scaling Up Progressively



Sources: Bundesfinanzministerium. BNP Paribas

A dynamic advantage for German industry and intra-European trade

This caution should not overshadow the initial positive indicators generated by the plans. In the industrial sector, the rebound in orders noted at the start of the year has now been confirmed (+2.8% YTD y/y in April) (see our analysis). Moreover, exports from other European countries to Germany have increased (+2.2% year-on-year between January and April), thereby bolstering their growth.

In our view, the repercussions of the Middle-East conflict are unlikely to disrupt these favourable trends (see our analysis): we anticipate real GDP growth of +0.8% in 2026 and +1.1% in 2027. While caution is still advisable for the short-term outlook, progress in U.S.-Iran negotiations and the gradual reopening of the Strait of Hormuz (see our analysis) reinforce this view.

Lucie BARETTE
Europe Economist covering Germany, Italy and Spain

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[1] These figures include certain parallel expenditures (infrastructure, cyber-defence, military satellites, etc.). Excluding those additional costs, the expected figure is 2.8% in 2026, following 2.4% in 2025.

ECOCHARTS

JUNE 2026

Energy shock: Dashboard 2026 vs. 2022

BNP PARIBAS

The bank for a changing world

Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

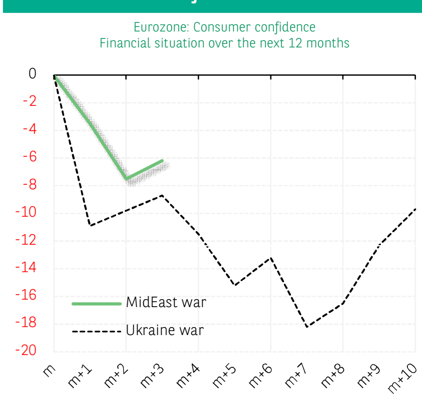
The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices.

The data available to date supports this view, but the situation still needs to be monitored closely. The Memorandum of Understanding (MoU) between the United States and Iran provides some relief but many uncertainties remain. The recent fall in oil prices is good news, but it must continue over the long term. Nevertheless, it is a headwind that is easing, which reinforces our scenario of global growth resilience. Inflation is expected, however, to remain supported for some time by the lagged effects of tensions on oil and other commodity prices and on value chains. The context remains inflationary, albeit to a lesser extent than before the MoU, but enough to justify a more restrictive stance from central banks.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

This dashboard is featuring charts and comments will be updated on a monthly basis for as long as necessary.

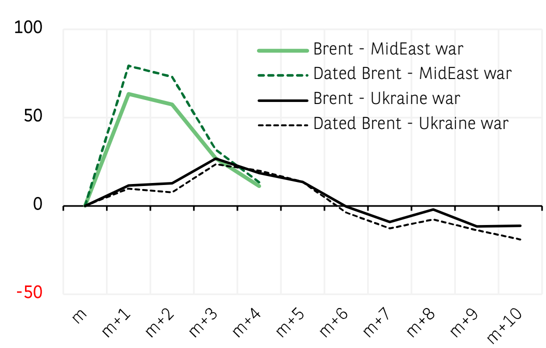
May 2026: Small but encouraging rebound in consumer confidence in the Eurozone



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: European Commission, Macrobond, BNP Paribas

June 2026: The expected reopening of the Strait brings relief on the oil market



Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

Source: Bloomberg, Ember, BNP Paribas

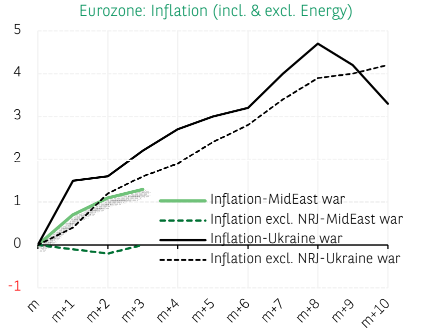
Eurozone: Inflation remains driven by energy, pressures continue to develop but without intensifying, confidence enjoys a respite

We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the available data for May is rather positive. Granted, inflation keeps rising (+1.3 percentage points over three months), but the contribution of the "energy" component remains dominant. According to the PMIs business climate surveys, inflationary pressures continue to develop through rising input prices, while the increase in output prices is more contained. However, the lengthening of delivery times continues, which is likely to fuel inflation. Business confidence in the manufacturing sector has deteriorated a bit, after four consecutive months of improvement. This time, business confidence in services and consumer confidence are sources of good news: the former has stopped falling and the latter has slightly recovered. Now that the risk of a severe escalation of the conflict in Iran has decreased, it remains to be seen to which extent survey data will improve starting in June.

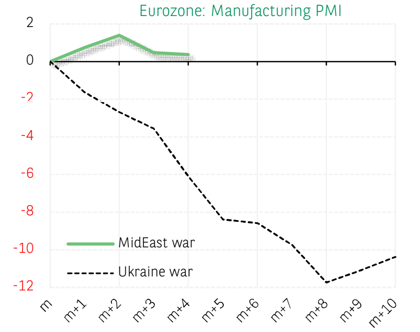
May 2026: The inflation rise remains energy-led

Eurozone: Inflation (incl. & excl. Energy)



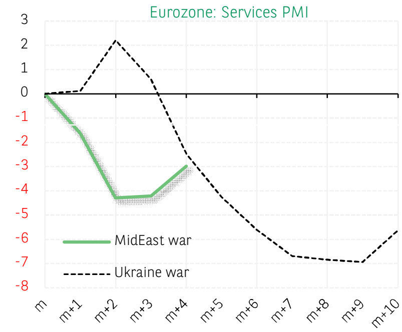
May 2026: Limited correction of business confidence in the manufacturing sector

Eurozone: Manufacturing PMI



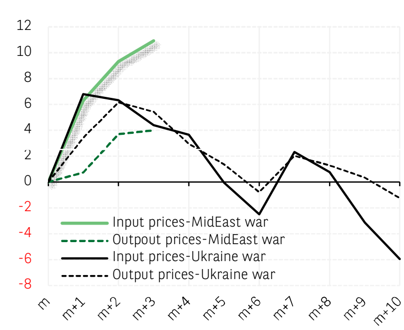
May 2026: No further deterioration in business confidence in the services sector

Eurozone: Services PMI



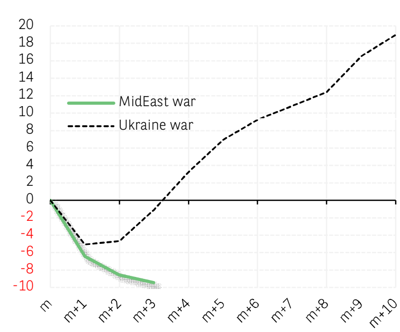
May 2026: Sharp rise in input prices continues, more limited one in output prices

Eurozone: Composite PMI - Input and output prices



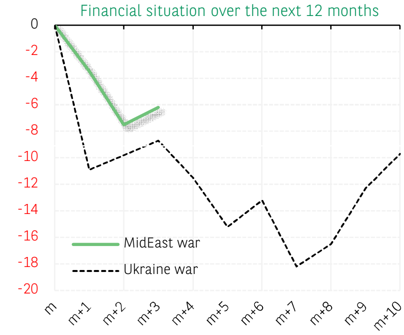
May 2026: More signs of rising tensions on supply (longer delivery times)

Eurozone: Manufacturing PMI - Suppliers' delivery times



May 2026: Small but encouraging rebound in consumer confidence

Eurozone: Consumer confidence
Financial situation over the next 12 months



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Oil prices pushes inflation higher and household sentiment is under growing pressure

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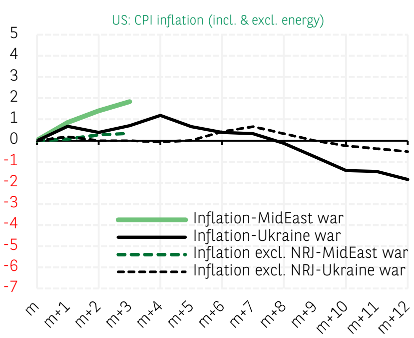
CPI inflation recorded its largest monthly increase since 2022 in March and stood at 4.2% y/y in May (+1.8pp in three months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up as well but to a lesser extent (+0.3pp to 2.9% y/y in three months).

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

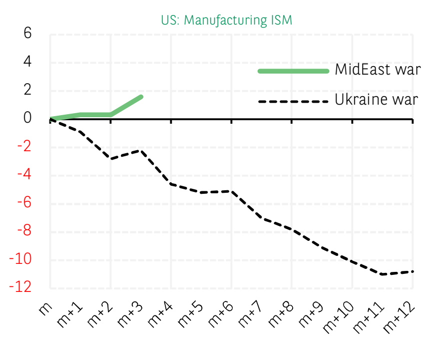
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations have risen.

However, macro conditions are significantly less inflationary than in 2022, although small businesses have raised their price plans.

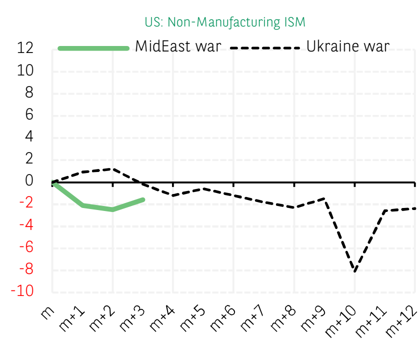
**May 2026:
Energy-related inflation bounce**



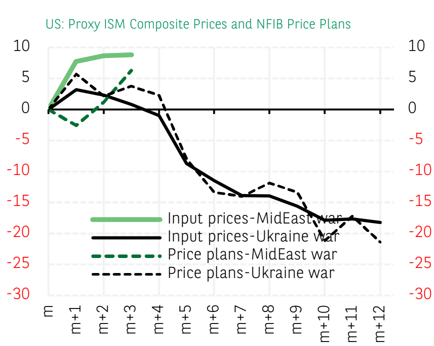
May 2026: Positive trend for manufacturing business sentiment



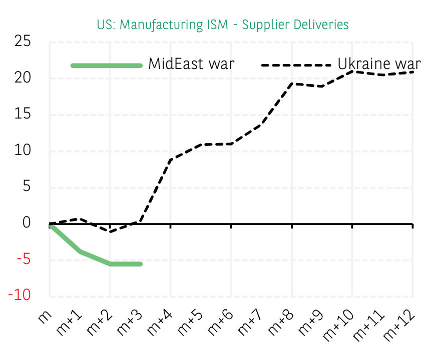
May 2026: Services business sentiment still buoyant



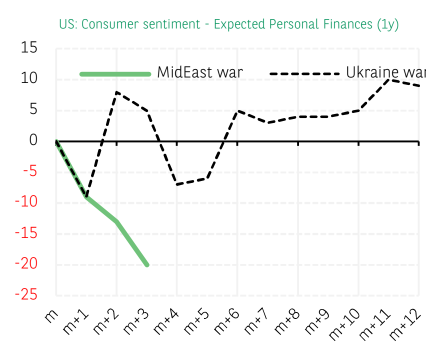
May 2026: Very elevated input prices, another rise in price plans



**May 2026:
Longer delivery times**



**June 2026:
Growing concerns among households**



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

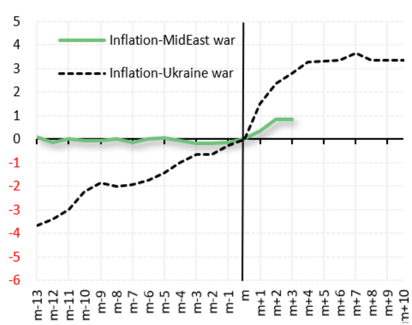
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 while the volatility of capital flows reflects investors' nervousness

In May 2026, the average CPI inflation rate for the main emerging economies was broadly stable at 4.7% y/y after 4.8% in April. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. Manufacturers' opinion on the trend in input & output prices has stopped deteriorating but remains higher than in 2022.

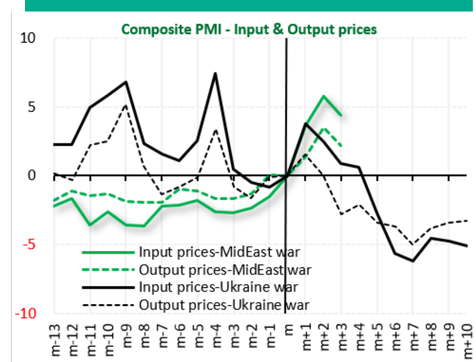
The manufacturing PMI was stable in May after the rebound in April. The impact on manufacturing activity since the beginning of the military intervention in Iran is less severe than in 2022 but the situation remains fragile.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment flows in the main emerging markets showed a new strong reversal (USD-26.6 bn) in May after the rebound in April. Volatility in capital flows since March has showed investors' nervousness given the very high geopolitical uncertainty. In May, the reversal in investment flows was concentrated in equities while debt flows remained positive. EM Asia alone accounted for more than half of the total EM outflow, driven by large equity selling in South Korea and India. The announcement of an agreement between US and Iran may result in a new positive correction in June.

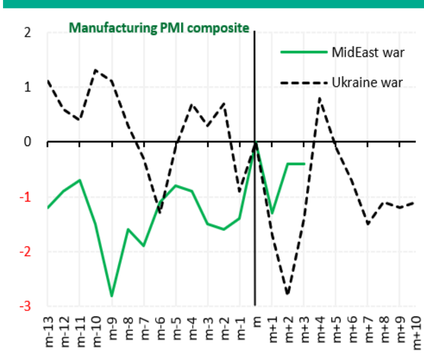
May 2026:
A much less severe CPI inflation rebound …



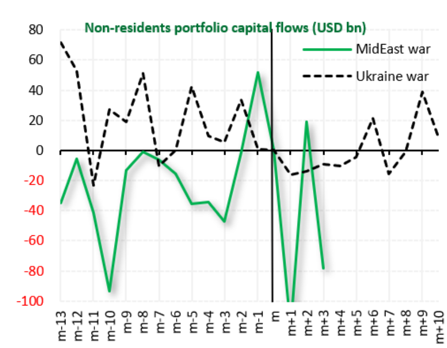
May 2026: … but a stronger acceleration in input and output producer prices



May 2026: Better business confidence after the March shock



May 2026:
A marked volatility in capital flows since March



Change since m = 0 = February 2026 / February 2022. Unit: inflation change in percentage point, point for confidence surveys.

Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

Oil & gas: Prospects for the reopening of the strait of Hormuz are easing tensions in the hydrocarbon market, but prices remain high

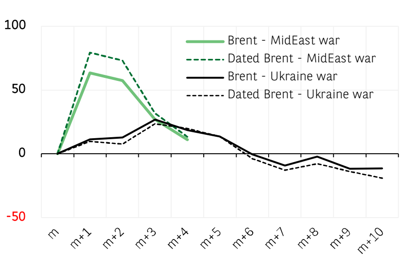
Until the agreement extending the ceasefire (second half of June), European oil and gas prices had reacted more strongly to the energy shock caused by the war in the Middle East than they had to the shock that followed Russia's invasion of Ukraine. This is no longer the case now that the prospects for a resumption of traffic through the strait of Hormuz are becoming more tangible.

Oil: Brent crude prices had reached very high levels during the first three months of the conflict in Iran. Fears of a short-term shortage — due to a decline in the volume of oil available on the market caused by the closure of the strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the strait — led to a sharp reaction in the price of physical crude (dated Brent). Since early June, Brent prices have fallen sharply, and the spread between the prices of futures (Brent) and physical price (dated Brent) has narrowed for two reasons: 1/ First, the accelerated drawdown of OECD inventories, the decline in Chinese oil imports, and the beginning of a resumption of traffic through the Strait; 2/ Second, the announcement of the extension of the ceasefire and the start of negotiations between the warring parties.

Gas: The reaction of the spot gas price in Europe (TTF) to the agreement between Iran and the United States has been more moderate than that of oil. This is due in particular to 1) European demand, which remains buoyed by the need to replenish inventories, and 2) the time required to bring all facilities back online, which will take longer for natural gas (due to the destruction of significant production and liquefaction capacity in Qatar) than for oil.

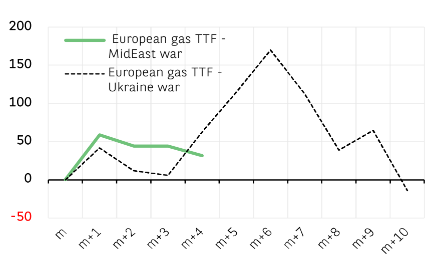
Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonization of the electricity mix since 2022 and favorable weather conditions explain this recent development. Nevertheless, the prolonged heat wave affecting parts of Europe in June is expected to significantly boost electricity demand and drive prices higher.

June 2026: The expected reopening of the Strait brings relief on the oil market



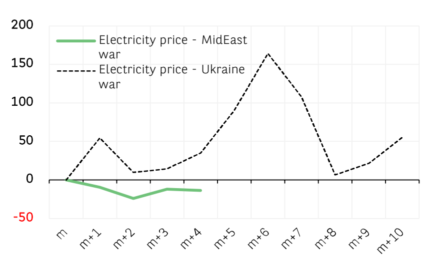
Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

June 2026: Gradual easing in tensions over liquefied natural gas prices in Europe



Note: change % since 02/27/2026 - 02/23/2022; last price 06/19/2026

June 2026: Wholesale electricity prices did not react



Note: change % since 02/2026 - 02/2022

Source: Bloomberg, Ember, BNP Paribas

ECONOMIC RESEARCH

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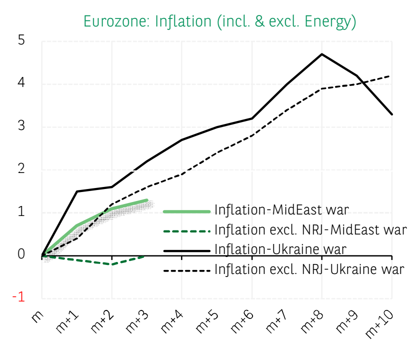
ECONOMIC RESEARCH

Eurozone: Inflation remains driven by energy, pressures continue to develop but without intensifying, confidence enjoys a respite

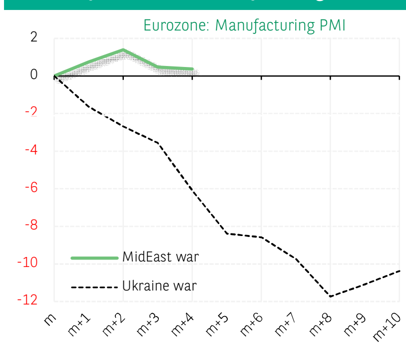
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the “input prices” and “output prices" components of the composite PMI (in order to identify direct inflationary pressures); the “suppliers’ delivery times” component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its “assessment of financial situation in the next 12 months” component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month m=0, corresponding to the start of the conflict. Each line does not represent the level of the indicator, but its cumulative variation compared to month m=0.

The assessment of the available data for May is rather positive. Granted, inflation keeps rising (+1.3 percentage points over three months), but the contribution of the "energy" component remains dominant. According to the PMIs business climate surveys, inflationary pressures continue to develop through rising input prices, while the increase in output prices is more contained. However, the lengthening of delivery times continues, which is likely to fuel inflation. Business confidence in the manufacturing sector has deteriorated a bit, after four consecutive months of improvement. This time, business confidence in services and consumer confidence are sources of good news: the former has stopped falling and the latter has slightly recovered. Now that the risk of a severe escalation of the conflict in Iran has decreased, it remains to be seen to which extent survey data will improve starting in June.

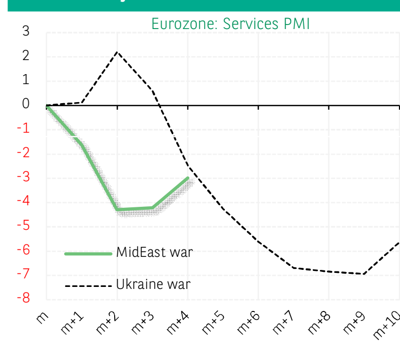
May 2026: The inflation rise remains energy-led



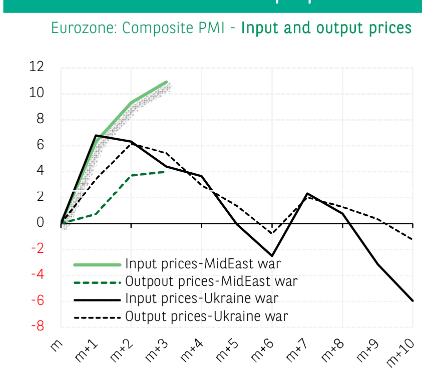
May 2026: Limited correction of business confidence in the manufacturing sector



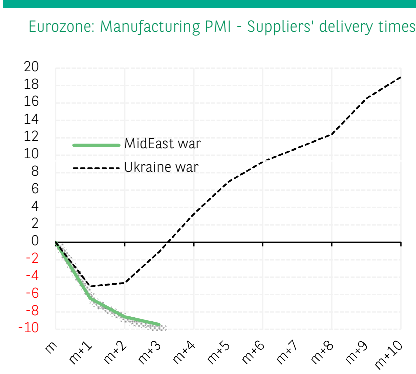
May 2026: No further deterioration in business confidence in the services sector



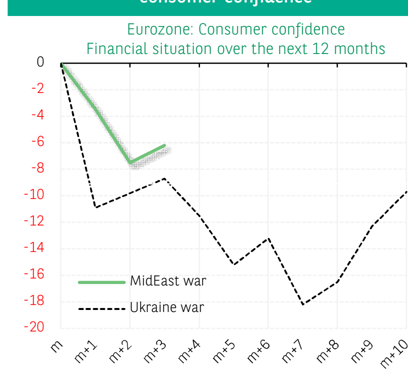
May 2026: Sharp rise in input prices continues, more limited one in output prices



May 2026: More signs of rising tensions on supply (longer delivery times)



May 2026: Small but encouraging rebound in consumer confidence



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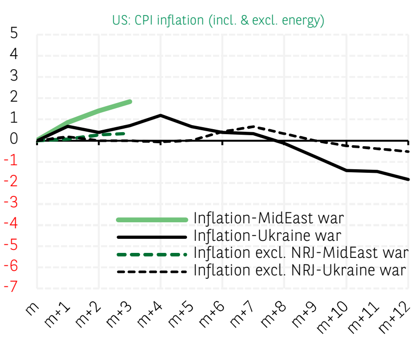
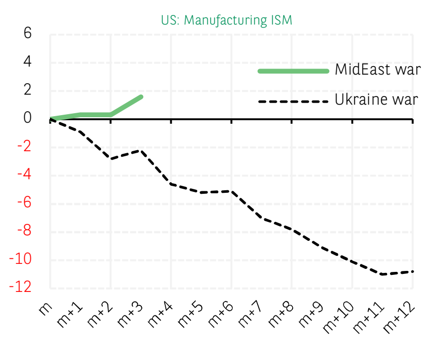
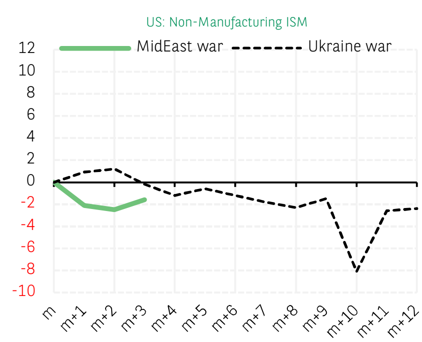


May 2026: Positive trend for manufacturing business sentiment



May 2026: Services business sentiment still buoyant



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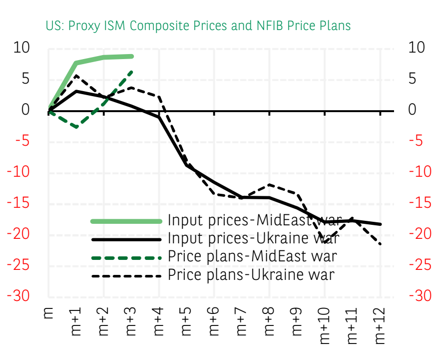
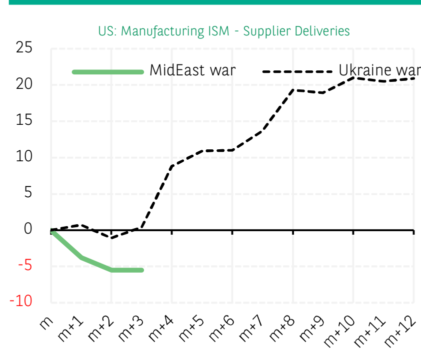
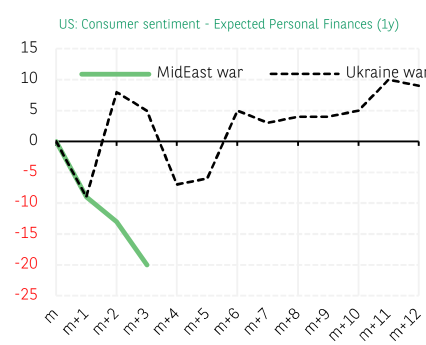


May 2026: Longer delivery times



June 2026: Growing concerns among households



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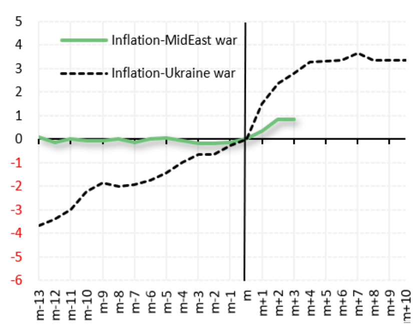
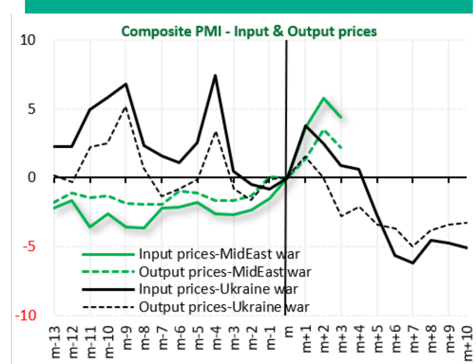
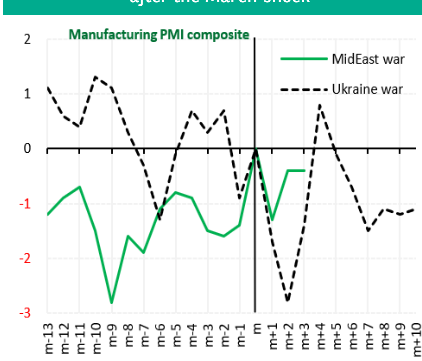


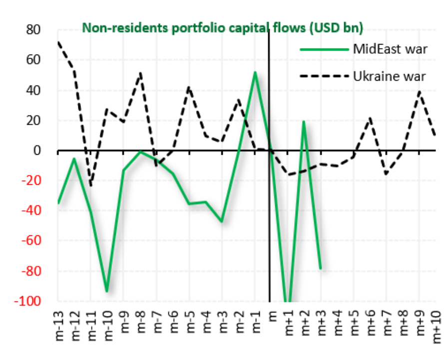
May 2026: … but a stronger acceleration in input and output producer prices



May 2026: Better business confidence after the March shock



May 2026:
A marked volatility in capital flows since March



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Source: National Statistical Offices, IIF, S&P Global, BNP Paribas

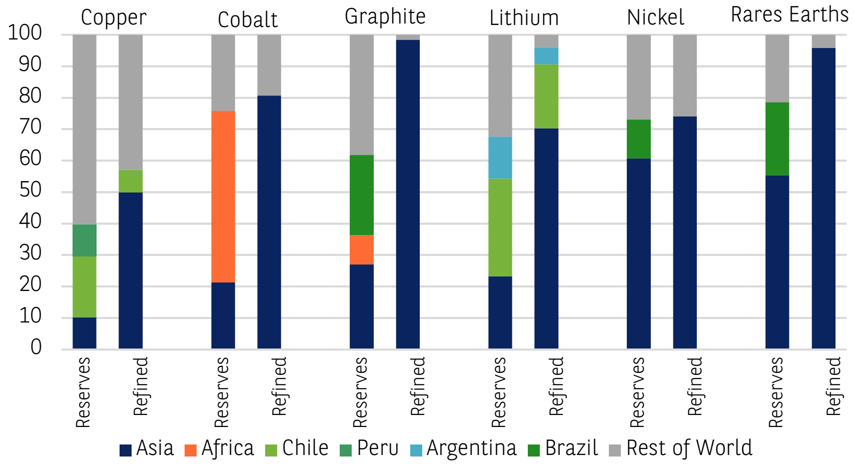
CHART OF THE WEEK

24 June 2026

LATIN AMERICA: ADDING VALUE TO CRITICAL MINERALS BEYOND MINING

Hélène Drouot

Reserves are concentrated in Latin America, while refining is dominated by China (2025, % of total)



Note: Refining data reflect global production of refined products for each mineral

SOURCE: IEA, USGS

High potential

The global race for artificial intelligence and the electrification of economies is leading to an increase in demand for metals. A recent study by S&P Global[1] indicates that global electricity consumption is projected to grow by nearly 50% by 2040, fuelling a sustained rise in demand for copper, lithium, nickel, and other critical minerals. According to the International Energy Agency, demand for copper could rise by 30 to 40% by 2040, while demand for lithium could increase four- to sixfold, depending on the pace of adoption of low-carbon technologies.

Latin America possesses a significant share of the world's critical mineral resources needed to meet this demand. However, the abundance of natural resources will not necessarily translate into accelerated economic growth in these countries.

According to data from the Economic Commission for Latin America and the Caribbean (ECLAC)[2], nearly 1,200 mining projects have been carried out in Latin America over the past two decades. Although critical minerals represent only around 25% of the total number of projects, they account for over 40% of the investment value, illustrating their strategic importance and capital intensity. According to the OECD[3], the number of lithium investment projects has increased ninefold since 2016, primarily in Argentina, followed by Chile and Brazil. Investment projects in nickel, cobalt, and rare earths have also seen substantial growth since 2020, particularly in Brazil.

Activities Restricted to Mining

However, the region is predominantly limited to mining operations, which still account for over 70% of investments. Higher value-added sectors such as refining, processing and innovation remain marginal; these activities are largely situated outside the region, primarily in China. This situation restricts the capacity of Latin American countries to capture a significant share of the value generated by clean and digital technology value chains.

China holds a dominant position in these value chains. Over the past decade, the Chinese government has implemented a cohesive strategy that combines supply security, foreign investment, and the expansion of refining capacity. In 2024, China accounted for 70% of Chile's lithium exports and over half of its copper exports. This strategy strengthens China's influence over global value chains, while relegating Latin American economies to a predominantly extractive role.

1 S&P Global (January 2026) *Copper in the Age of AI: Challenges of Electrification*.
2 ECLAC (November 2025) *Foreign Direct Investment in Latin America and the Caribbean*.
3 OECD (April 2026) *Regional Note on Critical Minerals in Latin America and the Caribbean*.

Europe and the United States are coordinating their strategies, while Latin America remains divided

In response to Chinese dominance, the European Union enacted the Critical Raw Materials Act in 2023, which sets targets of 10% local extraction and 40% local processing by 2030, while aiming to reduce reliance on third countries for strategic minerals—notably through the development of European capabilities and the establishment of partnerships with third countries. In the United States, critical minerals were officially incorporated into national security priorities in 2022 to bolster domestic extraction and processing of a range of strategic minerals, including lithium, nickel, cobalt and graphite. The United States has also entered into a growing number of bilateral agreements with several countries in the region in recent years (Argentina, Ecuador, Peru and Chile) to secure its supply. As part of the USMCA review, the United States, Canada and Mexico are in discussions to include a section dedicated to critical materials. It aims to secure supplies and cultivate regional value chains within the battery, electric vehicle, and strategic technology sectors.

These initiatives underscore the strategic role of critical minerals, the control of which determines a country's standing in industrial value chains.

Latin American responses to these challenges remain largely national and fragmented. Chile and Brazil stand out for their distinct mining policies, which include instruments targeting critical minerals and measures to expedite and simplify investment. The region's lithium-rich countries (Argentina, Chile, Brazil, Bolivia, and, to a lesser extent, Mexico) are all striving to establish themselves in the higher-value-added segments of the value chains. However, their strategies vary considerably, ranging from liberal policies aimed at attracting foreign investment to more interventionist models.

This fragmentation is all the more detrimental given that the region's resources are complementary—from copper in Chile and Peru, to lithium in Argentina, Bolivia, and Chile, to nickel, graphite, and rare earths in Brazil. A collaborative regional strategy would facilitate the development of integrated value chains.

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Published by BNP PARIBAS Economic Research
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Internet: www.group.bnpparibas - www.economic-research.bnpparibas.com
Head of publication : Jean Lemierre / Chief editor: Isabelle Mateos y Lago
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Paris, 23 June 2026

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EcoFlash

Presidential Election in Colombia: A 180-Degree Turn

In Colombia, the right-wing populist candidate Abelardo de la Espriella won the second round of the presidential election on Sunday, 21 June, which achieved a record voter turnout of 63.4%. Preliminary estimates indicate that he secured 49.7% of the votes, narrowly surpassing left-wing candidate Iván Cepeda, who garnered 48.7% and represented a continuation of the policies of outgoing President Gustavo Petro (2022-2026). This election marks a significant shift to the right for the country, following the lead of Argentina and Chile, now governed by President Javier Milei (since December 2023) and President Antonio Kast (since March 2026), respectively. Meanwhile, Peru is still counting the votes from the second round of the presidential election and may soon follow suit, while Brazil is due to go to the polls in October.

In the financial markets, investors reacted positively to the election outcome. Since 31 May, the date of the first round in which Abelardo de la Espriella topped the poll, the Colombian peso has appreciated by 7.1% against the US dollar, while the average yield on 10-year sovereign bonds has fallen by 150 basis points. Investors have been attracted by the new president's pro-market programme, which promises a clean break with the previous administration. Similar to his Argentinian and Chilean counterparts, he advocates for economic liberalisation and a rapid consolidation of public finances, as Colombia registered one of the largest fiscal deficits in Latin America[1] in 2025.

Economic growth: a rebalancing of growth drivers rather than an acceleration?

Between 2023 and 2025, Colombia's economic growth averaged 1.6% per year, compared to an average of 2.3% in the region. This growth was driven by consumption (+2.2% per year on average), especially government consumption (+3.5% per year). By contrast, investment contracted by 3.6% per year. Consequently, the investment ratio fell from 19.1% of GDP in 2022 to 16.1% of GDP in 2025, marking a twenty-year low.

The economic liberalisation promised by A. de la Espriella could revive private investment by reducing interventionism and the uncertainty that accompanies it. He intends to lift the ban on issuing new licences for hydrocarbon exploration and on hydraulic fracturing (fracking), two measures introduced by G. Petro's administration and aimed at steering the country towards an energy transition. Crude-oil production should therefore rebound after a 1.5% decline since 2022. Goods exports (+0.2% per year on average from 2023 to 2025) are also expected to rise, as hydrocarbons account for 46% of total exports (2022-2025 average).

Consumption growth, however, is likely to slow, at least in the short term. The fiscal austerity programme will significantly impact government consumption (15.7% of GDP in 2025). A. de la Espriella has announced plans to cut 700,000 public-sector jobs (about 3% of the labour force), which the private sector will struggle to absorb. Unemployment is therefore expected to rise in the coming months, following a steady decline over the past two years (from 10.7% in March 2024 to 8.7% in April 2026). The poverty rate, which fell from 36.6% to 28% between 2022 and 2025, thanks in part to several minimum-wage revaluations, could climb again.

Therefore, A. de la Espriella's victory is likely to result in a rebalancing of growth drivers rather than an acceleration of growth[2]. Moreover, downside risks to growth are not negligible. The risk of blockades associated with possible social movements is high, given the electorate's deep polarisation and the new president's controversial socio-economic agenda. His proposals to abolish the Special Jurisdiction for Peace (JEP)—a cornerstone of the 2016 peace accords—and to intensify military operations against drug trafficking could further destabilise an already fragile security situation. The negative impact on the economy could be considerable, particularly in the tourism sector, which has recently emerged as the second-largest source of foreign-exchange receipts behind oil.

[1] See **In Latin America, the energy crisis is expected to have a moderate impact on public finances**.

[2] In his programme, A. de la Espriella forecasts to lift annual growth to 7% per year.

Public Finances: What will be the extent of fiscal consolidation?

Public finances have deteriorated over the past two years. The central government deficit widened to an average of 6.5% of GDP in 2024-2025, while central government debt reached 64.4% of GDP at the end of 2025, up 5 percentage points (pp) since the end of 2022.

A. de la Espriella has committed to a rapid consolidation of public finances and a return to adherence to the fiscal rule[3] that was suspended in June 2025. According to the CARF[4] (an independent state body), a fiscal adjustment of almost 4pp of GDP will be required by the end of 2027 to bring the fiscal balance back into line with the rule next year. To restore market confidence, the new president has appointed J. M. Restrepo—former Finance Minister under right-wing President Iván Duque—as vice-president.

The first signs of fiscal consolidation could appear as early as Q4 2026. Nevertheless, several obstacles could impede the process. On the expenditure front, the plan to intensify the fight against narcotrafficking could increase security spending. The government's ability to cut other outlays is likely to be limited, as "rigid" expenditures associated with recent reforms (decentralisation, pensions, health) account for over 80% of total spending. On the revenue front, tax receipts could fall if de la Espriella's proposed tax cuts are implemented.

Furthermore, the president may find it difficult to get reforms through Congress, given his outsider status and his rejection of the traditional political elite. Despite the legislative elections in March, Congress remains highly polarised, with the *Pacto Histórico*—the party of G. Petro and I. Cepeda—holding the most seats. Consequently, de la Espriella could struggle to forge the alliances necessary to pass contentious fiscal reforms and budget laws.

In short, A. de la Espriella's victory provides a temporary relief for public finances, helped by lower yields on sovereign bonds. To maintain investor confidence, his administration will need to lay the groundwork for fiscal consolidation quickly. However, numerous hurdles remain, which may contribute to increased volatility in financial markets over the coming months.

Lucas Plé

[3] The rule that sets the fiscal balance target based on the gap between the central government's net debt level, its maximum permissible ceiling (71% of GDP), and its long-term target (55% of GDP).

[4] Autonomous Committee for the Fiscal Rule.

U.S.-IRAN MEMORANDUM OF UNDERSTANDING: TO WHAT EXTENT HAS IT IMPROVED THE ECONOMIC OUTLOOK?

The memorandum of understanding reached between the United States and Iran certainly provides a degree of relief, but it remains shrouded in too much uncertainty to fundamentally change the situation—at least in the short term. The recent fall in oil prices is good news, but it needs to be maintained over the long term, while the reopening of the Strait of Hormuz faces numerous constraints. A return to normal will take time. This headwind to growth is diminishing, which reinforces our resilience scenario. Inflation is likely to remain elevated for some time yet due to the lagged effects of tensions on oil and other commodity prices. The environment therefore remains inflationary, albeit to a lesser extent than before the MoU, but still enough to justify a more restrictive stance from central banks.

The memorandum of understanding (MoU) reached between the United States and Iran, announced on 14 June and signed on 17 June, was generally welcomed by the markets (see tables). Relief was most evident in the oil markets, where oil prices fell sharply. Conversely, the bond markets reacted in a more subdued manner: long-term rates decreased only slightly before rising again by a few basis points in response to the hawkish stance of the FOMC meeting on 16 and 17 June, which also strengthened the U.S. dollar. While there is still limited hindsight, the overall impression is that the MoU has not fundamentally changed the situation compared with what was already priced in by the markets and in our forecasts.

THE SHARP DROP IN OIL PRICES IS UNDOUBTEDLY GOOD NEWS, BUT A RETURN TO NORMAL OIL MARKET CONDITIONS IS STILL A LONG WAY OFF

La The likelihood of the reopening of the Strait of Hormuz has increased significantly, but the outlook remains fragile. Furthermore, this reopening cannot happen immediately due to various technical and logistical challenges. Oil prices continue to be influenced by a precarious balance in the global oil market. Consequently, there is a risk that normalisation may take longer than anticipated, prolonging the associated tensions in oil prices rather than allowing for a swift resolution. Oil prices are unlikely to return to their pre-conflict levels: we consider the USD 75 per barrel mark to be a durable floor and see oil prices stabilizing around USD 85 over the coming quarters[1].

We identify four potential scenarios:

- 1/ The MoU results in a lasting agreement within the next 60 days (which corresponds with our current de-escalation scenario), leading to a Brent price decrease to USD 70/barrel before rising to USD 75 by year-end;

- 2/ The MoU ultimately results in a lasting agreement after one or more extensions: this is our base-case scenario, with Brent falling to USD 70 per barrel and subsequently rising to USD 85 by year-end;

- 3/ The MoU results in an unstable agreement, leading to uneven and unpredictable oil flows through the Strait: the price of a barrel of Brent dips to USD 80 but rises to USD 95 by year-end;

- 4/ The MoU breaks down, causing the Brent price to climb to USD 140/barrel by year-end.

We assign a low probability to scenarios 1 and 4 and a relatively high probability to scenarios 2 and 3, with scenario 2 regarded as our base case.

Reactions to the US-Iran MoU

Sharp drop in energy prices, with more restrained movements in other financial market segments

	in % change					
	22/06/2026	1-Day	1-Week	Since start of war	Year to date	1-Year
S&P500	7473.48	-0.4	-1.1	+8.6	+9.0	+25.2
Nasdaq Composite	26278.88	-0.9	-1.5	+15.9	+13.1	+35.1
Euro STOXX 50	6311.32	+0.3	+1.3	+2.8	+7.9	+20.6
CAC40	8400.11	-0.2	+0.2	-2.1	+2.5	+10.7
Euro STOXX Banks	298.17	+1.0	+5.1	+10.9	+11.7	+51.2
BNP Paribas	101.84	+0.3	+3.2	+6.6	+24.3	+37.1
Nikkei 225	72353.96	+1.5	+4.4	+22.9	+43.7	+88.4
Hang Seng Index	23768.52	-0.7	-4.3	-10.7	-9.8	+1.0
Bloomberg World Index	2612.50	+0.1	-0.4	+6.8	+10.4	+27.0

	in bps					
	22/06/2026	1-Day	1-Week	Since start of war	Year to date	1-Year
OAT 10Y (%)	3.71	-3.4	+1.2	+49.1	+9.8	+46.4
Bund 10Y (%)	2.95	-3.2	-0.1	+31.0	+5.3	+43.6
US Tr. 10Y (%)	4.50	+4.6	+2.6	+56.1	+30.8	+12.4
JGB 10Y (%)	2.68	+2.7	+10.1	+56.3	+61.7	+128.5
Gilt 10Y (%)	4.81	-3.6	-0.6	+57.3	+26.9	+26.9

	in % change					
EURUSD	1.14	-0.3	-1.3	-3.2	-2.4	-0.8
DXY Index	100.92	+0.1	+1.3	+3.4	+2.5	+2.2
Brent ($/bbl)	77.47	-3.8	-6.9	+6.9	+27.5	+0.6
Dutch TTF Price (€/MWh)	42.18	+0.2	-0.8	+33.5	+45.4	+4.7

SOURCE: BLOOMBERG (22/06/2026), BNP PARIBAS

A CONFIRMATION RATHER THAN AN IMPROVEMENT OF OUR FORECASTS

Signs of an impending resolution to the Iran conflict, thanks to the MoU, emerged slightly earlier than we had anticipated, leading to a faster decline in oil prices. Nevertheless, this more advantageous development does not necessarily mean an improved economic outlook. Our growth forecasts were, in fact, already based on a relatively positive view of the global economic landscape, bolstered by the AI boom and European investment efforts.

1 Reopening of the Strait of Hormuz: the oil market between short-term relief and persisting uncertainties, June 16, 2026.

Our scenario of a resilient global economy has been reinforced. It remains to be seen, now that the risk of a severe escalation of the conflict has lessened, to what extent survey data — which has been visible affected by the shock throughout May [2]— will improve starting in June.

The recent decline in oil prices, in addition to helping temper households' inflation expectations, should mechanically bring down inflation. The key question is how quickly and to what extent. In our view, this is unlikely to signify an immediate end to the inflationary episode. The first-round effects of previous price increases have not yet fully played out, and the downward impact on inflation from the current fall in oil prices is not expected to become apparent for another 3 to 6 months. At the time of writing, oil prices remain above their pre-conflict levels. Furthermore, the repercussions of this conflict have extended beyond a mere shock to energy prices[3]: significant supply chain tensions have reemerged—though not as severe as during the COVID years—and the sharp rise in the New York Fed's composite index did not bode well. The good news is that these tensions should ease as the Strait of Hormuz reopens. However, inflation is likely to remain sustained for some time due to the lagged effects of these tensions. Moreover, heightened demand, driven by lower oil prices, makes the economic environment more conducive to second-round effects. Ultimately, the inflation outlook appears more positive after the agreement than it did before, with inflation going less high, although the improvement is still relatively modest for now. We should not expect a much lower landing point.

FURTHER RATE HIKES REMAIN MORE LIKELY THAN NOT

Does the reduction in inflation risk mean we should shelve the anticipated policy rate hikes for the Fed, the ECB, the BoJ, and the BoE? No, as the inflation risk has merely been reduced: it has not (yet) vanished. The situation for the BoJ is the simplest, as its gradual process of monetary policy normalisation, which predates the energy shock, has every reason to continue. The Fed's scenario is also relatively simple, given that the three rate hikes we project (in December 2026, January, and March 2027) are based on the expected improvement in the labour market, current economic optimism, and core inflation stickiness — not on our assumptions regarding oil prices. At his first FOMC meeting, Kevin Warsh emphasised the significance of maintaining price stability. As for the ECB, recent developments likely rule out the possibility of another rate hike in July. However, a second one in September (which is our base case) remains more likely than maintaining the current rate, influenced by persistently high inflation and strengthening growth. The situation is more uncertain for the BoE, for which the U-turn is greater, as the central bank quits a loosening phase before the shock, to consider now how warranted a tightening is. Any hike will depend on evidence that second-round effects are in the pipeline. We believe such effects are building and the BoE will favour a risk-management approach and opt for a (single) rate hike in September.

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2 See the June issue of our Energy shock dashboard, scheduled for release on 23 June 2026 (previous issue dated 19 May, based on April data: Energy shock: Dashboard 2026 vs. 2022).
3 See this OECD note, which outlines the extent of dependencies and ramifications: The Hormuz Supply Shock – Beyond Energy – ECOSCOPE, 16 June 2026.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

G7: Back to life. The Evian G7 Leaders' Meeting far succeeded in keeping President Trump engaged for its entire 2-day duration and delivering common statements on no fewer than 9 issues, including greater support for Ukraine and pressure on Russia, the importance of coordinated action to reduce global imbalances (with specific policy changes identified), and securing supply chains for critical minerals. The communiqués are full of references to multilateral institutions, notably IMF, World Bank and OECD but also the WTO. Thus, contrary to premature reports, the G7 is not dead, and neither is multilateral cooperation.

UNITED STATES

United States: Hawkish Fed hold, mixed data. As expected, the FOMC kept interest rates unchanged; but the Committee, now chaired by President Trump's appointee Kevin Warsh, delivered a dramatic shift in outlook, with a shift from 12 members in March expecting a rate cut by year-end, to 9 expecting at least one rate hike and only one expecting a cut (not Warsh, as he declined to submit a forecast). While under Jerome Powell the FOMC and its chair strove never to refer to one side of the Fed's dual mandate without mentioning the other, this time both the statement and the Chair strikingly singled out price stability. Whilst an immediate confrontation between Warsh and the FOMC had been a risk, Warsh was at pains to emphasize the quality and collegiality of the discussions and to praise Fed staff's work. He announced a wide change agenda (notably on communications, balance-sheet policy, inflation frameworks, and data sources), but to be introduced only after 5 expert task-forces have done their work rather than by edict. Data was mixed. Industrial production growth slowed to 0.1% m/m in May (from 0.9% in April), weighed down by a contraction in nondurable manufacturing. However, AI-related, aerospace, and auto sectors expanded. Retail sales ex-autos and gas grew steadily at 0.5% m/m in nominal terms. Housing starts disappointed with a -15.4% m/m fall. The dollar strengthened on the Fed pivot.

EUROZONE

Resilient exports, inflation concerns. Overall Eurozone exports (both intra- and extra-EU) recorded a strong increase in April (+2.5% m/m), with both intra-EU and extra-EU exports rising (+2.4% m/m and +2.6% m/m, respectively). The final inflation estimates confirm May headline at 3.2% (above 3% for the 1st time since 2023) while core accelerated more than expected to 2.6%. Several ECB speakers voiced concern about price increases extending to food and services. Encouragingly for inflation risks going forward, industrial activity remains weaker than at end-2025 despite growing in April (+0.1% m/m and +0.4% y/y), with a rebound in the Netherlands and Ireland offset by flatlining in Germany and France. And basic wage growth (excluding one-off payments), is expected to stabilize at 2.5% in the second half of 2026 and 2.6% on average in 2026, compared to 3.8% in 2025, according to the ECB's wage tracker.

EUROPEAN UNION

Moving forward, cautiously, on China, Banking Regulations and Ukraine. EU Leaders decided to postpone confrontation with China and instead asked the European Commission to "continue engaging in a constructive dialogue", while also developing new tools in the area of trade defence (including tariffs and quotas) and industrial policy, notably to compel corporates to diversify their sources of critical inputs. Importantly, Chancellor Merz joined the hawks' camp, having earlier (at the G7) raised the possibility of countering China's exchange rate weakness with trade measures. On bank regulation, the EBA issued a report proposing a simplification of overlapping capital requirements, which could in some cases result in lowering them, albeit that is explicitly not the goal. In parallel, several media report that the upcoming EC report on bank competitiveness will propose enabling banks to meet liquidity and capital requirements at parent level, which should reduce fragmentation. The report would otherwise fall short of major easing of regulations. Lastly, Ukraine's membership negotiations have officially been launched; however, member states are divided on the speed, with a majority for now favouring a slow pace.

France: Boom in business starts amid forecast confusion. Business starts increased sharply in May 2026 (+15.4% y/y; +12.1% y/y YtD) to reach an all-time high (110000 in May; 3% above the previous peak). The main increases came from information & communication (+68% y/y; +42% y/y YtD) and business services (+27% y/y; +21% y/y YtD). Meanwhile, the Banque de France marked down sharply its growth forecast from 0.9% to 0.5% in 2026 (and 0.9% +0.1pp in 2027). This forecast does not take into account the MoU between the US and Iran, nor, we believe, a number of one-off factors. By contrast, INSEE revised up its Q2 GDP growth forecast from 0.2% q/q to 0.3%, driven by exports (high Airbus deliveries in Q2 after a low Q1); resilient manufacturing (momentum in aeronautics, defense spending / chemicals and oil refineries). The 2026 GDP growth forecast (published for the first time) is 0.7%, with the higher inflation environment expected to have a negative impact on both consumer spending and corporate investment.

Germany: Surge in ZEW expectations and producer prices. The ZEW June survey showed economic expectations surging by 20.7pts to 10.5 – the highest since the start of the Middle East conflict – on war optimism (versus consensus expectations for -6). Banks, insurance, telecoms, IT and utilities saw the largest upgrades in sentiment. Chemicals, automotive, and electronics recovered a little from deep May declines. Construction was the only sector deepening its contraction. Meanwhile, the May PPI rose by +2.2% y/y (vs. +1,7% in April), the fastest level since May 2023, but below expectations. It was mainly driven by higher prices for intermediate goods (+4.2% vs. +2.6% in April) and energy.

Italy: Export strength. The trade balance recorded a surplus of EUR +4.3 million in April, (EUR +9.5 mbillion excluding energy). Exports grew by 8.8% y/y, both for EU and non-EU countries, and imports by 5.5%.

Find out more in our scenario and forecasts

JAPAN

BoJ hike brings rate to highest since 1995. As widely expected, the Bank of Japan raised its policy rate to 1% (up 25bp) at the 15-16 June MPM. Toichiro Asada, the only current board member appointed by PM Takaichi, dissented and preferred to hold. The generally hawkish tone points to another hike by year-end, possibly in October. However, the rate hike did not prevent the JPY from further weakening (USD/JPY at 161.3 on Friday 19, vs. 160.2 on Friday 12). As a result of the interim assessment of the JGB purchase reduction plan, the BoJ announced the end of tapering from Q2 2027. Meanwhile, government support measures help keep inflation below target: In May, Core CPI was steady at 1.4% y/y (in line with expectations).

UNITED KINGDOM

New PM on the way, BOE on hold, and good data. Keir Starmer announced, on Monday 22, his resignation as Prime Minister and leader of the Labour Party. He was facing a leadership crisis since several weeks. The current Greater Manchester Mayor Andy Burnham emerges as the favorite to replace Starmer at both positions by mid-July. Earlier, he won an election to Parliament in a bid to eventually challenge Starmer. The Bank of England's MPC voted 7-2 on 18 June to hold Bank Rate at 3.75% but maintained a somewhat hawkish bias. It slightly lowered its inflation forecasts, though still expects a rise to over 3.25% by year-end 2026 (down from April's 3.7%–3.8%) as energy costs filter through, while marginally improving growth outlook. Inflation held steady at 2.8% y/y in May, unchanged from April and below expectations. PPI showed continued upstream pressure but easing monthly momentum. The unemployment rate fell to 4.9% in the three months to April (from 5.0%), better than expected. But wage growth remained contained and unchanged compared to the previous month at 3.4%. We trimmed our forecast from 2 to 1 BoE rate hike this year, likely in September. The Gfk consumer confidence index held steady in June, and next 12-months improved for the second month running. Retail sales surprised on the upside in May, rising 1.2% m/m both overall and core (i.e.) excluding automotive fuel.

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Gulf countries: Optimism prevails. The Dubai stock market gained 5.3% during the week and Abu Dhabi 3.1%. Gains were more marginal for Saudi Arabia, which was less affected by the conflict.

Saudi Arabia: Inflation reached+0.2% m/m in May (+1.8% y/y). Currency peg, energy subsidies,[KC3.1] and the flexibility of infrastructures have helped to contain inflationary pressures.

South Africa: Inflation print at +4.5% y/y in May was less than expected (+4.7%). Core inflation rose to 3.8% y/y but remained contained.

ASIA

China: Strong export growth, falling domestic demand. The K-shaped economic growth pattern continues. In May, industrial production growth accelerated slightly to 4.5% y/y from 4.1% in April, supported by solid exports. However, this is much slower than in 2025 (5.9%). Services production growth was also slow, at 4.4% y/y vs. 4.3% in April (5.5% in 2025), and domestic demand was weak. Retail sales value fell by 0.6% y/y, the first decline since China's zero-Covid policy in 2022. Total investment value also contracted (-4.1% y/y), led by the investment fall in real estate, manufacturing and infrastructure. The government may be tempted to increase again fiscal spending in the coming months. Separately, the PBOC launched a yuan repo tool, another step in China's efforts to support greater international use of the RMB.

Indonesia: Policy rate hike. Following a 50bp rate hike at an extraordinary meeting last week, the Central bank raised rates by an additional 25bp to 5.75% on June 18. MSCI has decided to keep Indonesia in the "emerging markets" category. This decision should reassure investors and ease downward pressure on the currency. While the increase in consumer prices remains modest (+3.1% y/y in May), the more pronounced rise in producer prices raises concerns (+5.8% y/y).

EMERGING EUROPE

Czech Republic: Policy rate hike. For the first time in 4 years, the Central bank raised its policy rate by 25 bp to 3.75%. The decision was widely expected, given high nominal wage growth (8.1% y/y in Q1 2026), elevated prices in the housing market and high energy prices. Core inflation remains sticky (2.8% y/y in May). Headline inflation (calculated from HIPC index) has been increasing (1.8% y/y in May from 1.0% in February). More rate hikes are not ruled out this year.

LATIN AMERICA

Policy rate cut to 14.25% (-25 bp). However, inflation remains high (4.7% in May), and the tone of the Central bank's. We now expect the Central bank to adopt a cautious stop-start easing cycle over the rest of the year. Separately, polls point to Brazil resisting Latin America's rightward shift in October's election.

Chile: Central bank on hold. The policy rate was unchanged for the 4th consecutive time. Inflation remains high (3.9% in May after 4.0% in April), but the Board judged that inflationary risks were balanced.

COMMODITIES

The IEA now expects global oil demand to fall by 1.1 mb/d y/y in 2026 (about 0.7 mb/d less than in their May report), while global oil supply is projected to decline by 3.9 mb/j in 2026. In 2027, the supply side is set to recover faster than demand, surging by 8 mb/d, when demand is projected to increase by only 2 mb/d, leading to a supply glut. This surplus should enable countries to replenish their strategic stocks without stressing the oil market.

Stocks have been drawn down heavily to offset the loss of barrels from the Gulf, and OECD government oil inventories have fallen to their lowest level since December 1990. The US Strategic Petroleum Reserve (SPR) dropped by 8.9 mb/d during the week of 12 May, taking it to its lowest level since 1983 (driving total SPR to 340 million barrels).

ECOINSIGHT
Issue 18
18 June 2026

UNITED STATES: A DROP OF OIL IN THE TREASURIES MARKET'S GEARS

Céline Choulet

The US regulatory framework is becoming more favourable to intermediation conditions within the US Treasuries market. The easing of leverage requirements has enabled the largest banks, known as Global Systemically Important Banks, or G-SIBs, to fulfil their role as intermediaries during the first months of the year. The ongoing reassessment of the G-SIB capital surcharge calculation method could also benefit market liquidity. However, the capacity of large US banks to absorb federal debt is expected to remain limited.

THE LEVERAGE STANDARD ONCE AGAIN ACTS AS A BACKSTOP

In 2025, the need to recalibrate the enhanced Supplementary Leverage Ratio (eSLR) imposed on Global Systemically Important Banks (G-SIBs) became a priority for US regulators[1]. The constraints on balance sheets were, in fact, on the verge of becoming more binding than the risk-weighted capital requirements (*see box*). It risked preventing, or even discouraging, certain major banks from fulfilling their role as intermediaries in the Treasury market. This was an undesirable situation under normal circumstances and even more so during periods of stress.

Last November[2], the enhanced Supplementary Leverage Ratio (eSLR) requirement was aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated according to the Financial Stability Board's Method, referred to as "Method 1" in the US regulatory framework[3]. The effective date of this new eSLR ru le was set for 1 April 2026 (the legal deadline). However, due to the introduction of a relaxation, banks were permitted to apply it early, starting on 1 January 2026. Under the new formula, the eSLR requirements for the eight largest US banks (the G-SIBs) now range from 3.5% to 4.25%, compared to the previous uniform requirement of 5%. The buffer imposed on their depository institution subsidiaries (in addition to the basic 3% requirement) has been capped at 1%, ensuring that their eSLR requirements cannot exceed 4%. This places them within a range of 3.5% to 4%, down from the previous uniform requirement of 6%.

The eSLR requirement for the eight GSIBs is now less binding than their riskweighted requirements (Chart 1, left-hand panel). In other words, the amount of Tier 1 capital needed to satisfy the eSLR is lower than that required by the riskweighted requirement. At the consolidated level, this allows every GSIB to increase its balance sheet in favour of riskfree assets without the need to raise additional Tier 1 capital. Consequently, the eSLR requirement is no longer considered "binding".

A MORE FLEXIBLE REGULATION IN FAVOUR OF TREASURY MARKET LIQUIDITY

The relaxed leverage requirements achieved the outcome regulators had hoped for: intermediation conditions in the Treasury market improved during the first months of the year. Against a backdrop of heightened uncertainty due to the Iran conflict, major banks were able to absorb a portion of Treasuries that had no buyers. This is reflected in the rising net positions of primary dealers, predominantly GSIB subsidiaries, which reached 1.8% of the outstanding federal debt in March and April, the highest level since the 2008 financial crisis (Chart 2).

Definitions of capital requirement

Banks are subject to various capital requirements; some rules are risk-weighted, while others are not.

The risk-weighted Tier 1 requirement compels banks to mobilise sufficient core capital based on the risks (credit, counterparty, market and operational risks) associated with their exposures. The Tier 1 capital ratio is the ratio of Tier 1 capital to risk-weighted assets.

Conversely, the leverage requirements are non-risk-weighted capital requirements. Their purpose is to ensure that a bank's assets or commitments, regardless of the risks associated with them, do not exceed a specific multiple of its capital. As a result, US Treasury securities, although considered «safe» assets with a zero risk-weighting for risk-weighted capital ratio calculations, are fully accounted for in the exposure calculations (the denominator of leverage ratios) just like any other asset, including those that are highly risky. A leverage ratio limits the size of bank balance sheets. Its calibration should enable it to function as an extreme limit (safety net) rather than a permanent constraint. Otherwise, it could become the decisive factor in portfolio choices, incentivising banks to favour riskier, more capital-intensive, yet more profitable assets.

All US banking institutions are subject to a simple leverage requirement (Leverage Ratio, LR), which compares Tier 1 capital to average on-balance sheet assets. The largest banks (those with consolidated assets exceeding USD 250 bn or with at least USD 75 bn in non-bank assets, short-term market debt, or off-balance-sheet exposures) and their depository institution subsidiaries are also subject to the Basel leverage rule (Supplementary Leverage Ratio, or SLR). This rule compares Tier 1 capital to leverage exposure, which includes all on-balance-sheet assets (in accordance with applicable accounting rules, excluding derivatives and securities financing transactions recorded at gross value) and a reduced measure of off-balance-sheet commitments. The SLR requirement for the eight G-SIBs is stricter and is referred to as the enhanced Supplementary Leverage Ratio (eSLR).

1 See The US Treasuries market, an idol with feet of clay: Oiling the wheels.
2 Federal Reserve Board - Agencies issue final rule to modify certain regulatory capital standards.
3 In the United States, the capital surcharge imposed on GSIBs is determined using two methods: the Financial Stability Board's approach ("Method 1") and the Federal Reserve's approach ("Method 2"). The more stringent of the two (typically Method 2) is used to set the overall riskweighted capital requirement. The outcome of Method 1 is now used to set the eSLR requirement.

The leverage ratio eSLR is once again acting as a backstop for the 8 G-SIBs | **... but remains binding for their major deposit-taking subsidiaries**

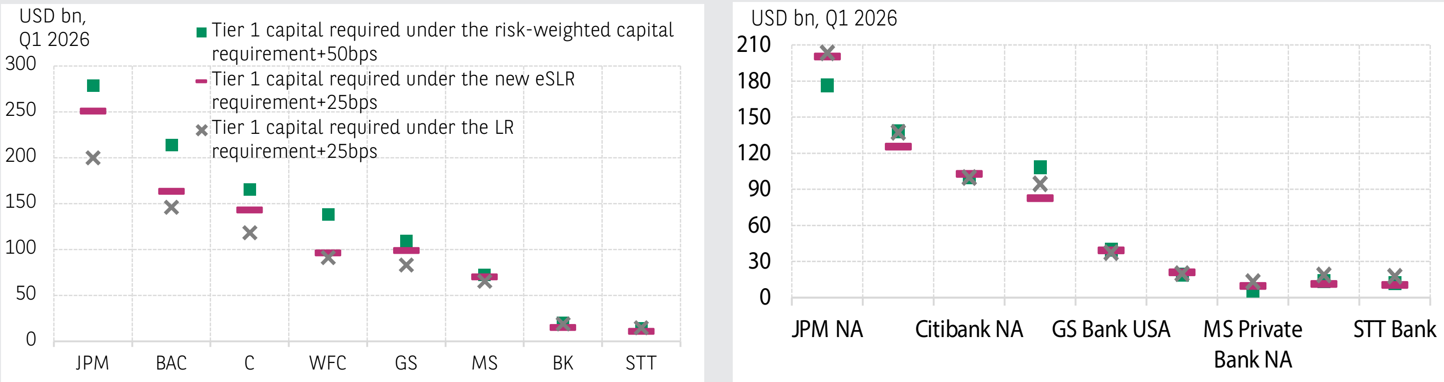


CHART 1

SOURCE: FINANCIAL REPORTS, S&P CAPITAL IQ, BNP PARIBAS

The chart shows the Tier 1 capital amounts required to meet various solvency benchmarks. Left-hand panel: for the eight G SIBs, the risk weighted Tier 1 requirement (plus a 50 basis point safety margin) is stricter than the leverage standards LR and eSLR (both plus a 25 basis point safety margin). The eSLR leverage standard is more binding than the LR leverage standard for six of the eight G SIBs. Right-hand panel: with the exception of Wells Fargo Bank NA, the major deposit-taking subsidiaries of the G SIBs are mainly constrained by leverage standards. The eSLR standard exceeds the risk weighted T1 requirement for four of the nine major subsidiaries and is practically equivalent for three others. The LR standard is more binding than the eSLR standard for six subsidiaries and slightly less binding for the remaining three.

Primary dealers' Treasury inventories reach their highest level since 2008

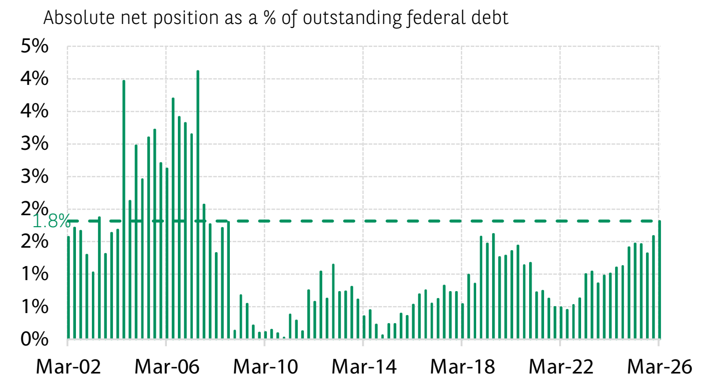
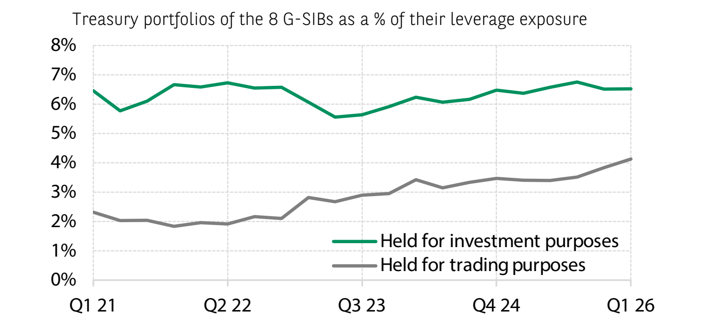


CHART 2

SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

The relaxation of the eSLR requirement has not sparked a significant increase in Treasury purchases



Leverage exposure is a proxy for a bank's total assets and commitments, used as the denominator in the Basel leverage ratio (SLR and eSLR in the US)

CHART 3

SOURCE: S&P CAPITAL IQ, BNP PARIBAS

This increase is particularly significant as, from midDecember to mid-April, the Federal Reserve (Fed) absorbed a substantial share of new Tbill issuance, contrasting with the periods of 2014–2019 and 2022–2025 when the Fed was reducing its holdings. With the Federal Reserve Management Purchases and Treasury buybacks programmes in place, the relaxation of the leverage standard helped preserve Treasury market liquidity and contributed to more favourable conditions in the repurchase agreement (repo) markets.

FEDERAL DEBT ABSORPTION CAPACITY REMAINS LIMITED

The relaxation of the eSLR requirement has not resulted in the anticipated increase in demand for these securities. Admittedly, GSIB trading portfolios, which contain positions booked by brokerdealer subsidiaries, have grown (averaging 4.13% of leverage exposure in Q1 2026, up from 3.54% in 2025), yet their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged[4] (6.52% compared with 6.55%; Chart 3). Various limitations[5] have prevented the stimulus hoped for by the Treasury Secretary, including the eSLR itself.

4 With the exception of JPMorgan and Goldman Sachs
5 Large-scale outright purchases would have resulted in an increase in GSIB surcharges by enlarging the size indicator and worsened simple leverage and eSLR ratios (which continue to be binding for some depository institution subsidiaries). These acquisitions would also have heightened banks' maturity-transformation and interest-rate risk exposures or breached internal market-risk exposure limits.

For seven of the nine large GSIB depository institution subsidiaries, the standard continues to be binding—or nearly so (Chart 1, right-hand panel). Yet, the Treasury investment portfolios of major banks are, for the most part, recorded on the balance sheets of their deposit-taking subsidiaries.

THE PROPOSED REFORM TO GSIB CAPITAL SURCHARGES COULD LIKEWISE PROVIDE SOME MOMENTUM

Market-making requires maintaining extensive inventories of securities and executing numerous repo (and reverserepo) transactions. This tends to inflate leverage ratios at dealer parent companies by enlarging their balance sheets, while also exacerbating their systemic risk scores (due to increased size, shortterm wholesale funding, and complexity indicators). These scores are critical in determining the capital surcharges levied on large banks (the GSIB surcharges).

The Federal Reserve has recently proposed revisions to its methodology[6]. It plans to reassess all the coefficients in its formula (to account for economic growth and inflation), reduce the weight of the short-term wholesale funding indicator, introduce narrower surcharge brackets (to mitigate threshold effects), and calculate positions based on annual average data rather than end-of-period data. These adjustments should give GSIBs greater flexibility in their intermediary activities and positively impact Treasury market liquidity. They will relieve balance-sheet pressure by reducing both the level and growth rate of surcharges. They should also smooth liquidity supply over the year and reduce repo rate fluctuations around balance-sheet reporting dates.

Nevertheless, this reform is unlikely to trigger large-scale Treasury purchases. On the one hand, leverage standards LR and eSLR are expected to remain binding for most GSIB deposit-taking subsidiaries. On the other, the proposed relaxation of risk-weighted capital rules could reverse the prevailing hierarchy of capital requirements, pushing the leverage standard back to a "binding" status on a consolidated basis[7] and deterring large banks from acting as market-makers.

The expanding scope of centralised clearing for Treasury repo transactions would undoubtedly improve market liquidity. However, unless the federal debt trajectory is more effectively managed, US authorities may feel compelled to continue using tools to maintain the role of dealers in the Treasury market.

Céline Choulet

Completed on 13 June 2026

6 Federal Register: Regulatory Capital Rule (Regulation Q): Risk-Based Capital Surcharges for Global Systemically Important Bank Holding Companies; Systemic Risk Report (FR Y-15). The proposal is open for comment until 18 June.
7 For context, the capital surcharge for US GSIBs is determined by "Method 2" (currently under review), whereas the buffer used to calibrate the eSLR requirement is based on "Method 1", which is less stringent but remains unchanged.

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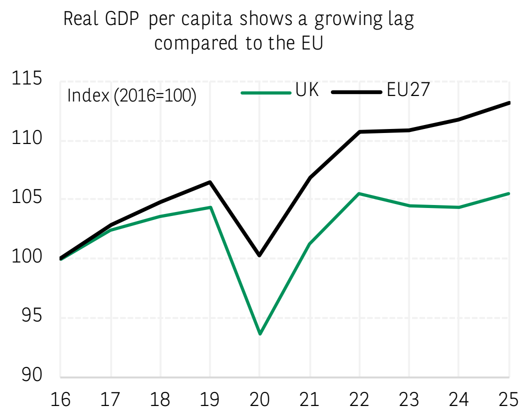
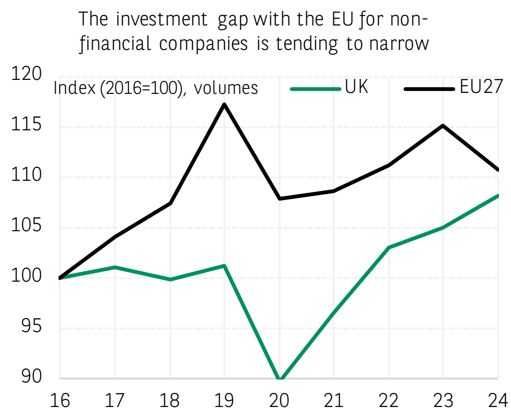
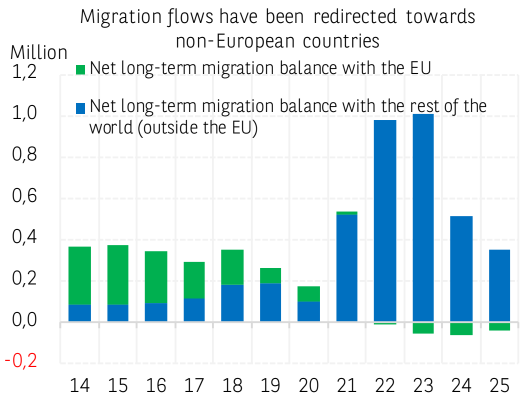
A DECADE AFTER THE REFERENDUM, THE UK IS FACING THE CONSEQUENCES OF BREXIT

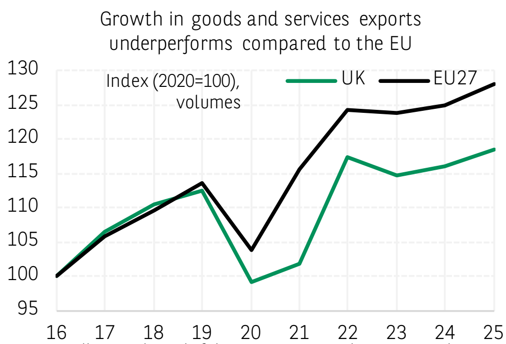
Marianne Mueller

23 June will mark the tenth anniversary of the Brexit referendum, which led to the UK's official exit from the European Union on 31 January 2020 (followed by a transition period). Since then, the country has indeed regained control over certain policy domains, such as trade, migration and regulatory frameworks. However, both the anticipation of Brexit and its actual implementation in 2021 have been linked to a decline in the country's performance across several key indicators. Against a backdrop of escalating geopolitical tensions and mounting shared challenges, the UK is now seeking to re-establish practical collaboration with its main economic partner: the European Union.









Notes: Following the end of the transition period on 31 December 2020, the trade agreement between the two parties entered into force on 1 January 2021.

SOURCE: ONS, OECD, EUROSTAT, BNP PARIBAS

An imperfect Brexit

While the referendum enabled the United Kingdom to regain exclusive competence over several areas of governance, this restored sovereignty has not resulted in a clean break with the European Union. Furthermore, it has led to developments that deviate from initial expectations.

In terms of trade, the United Kingdom has negotiated new free trade agreements with Japan (2021), Australia and New Zealand (2023), before joining the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP, 2024). However, the momentum of UK exports has waned, lagging behind that of the EU (Chart4). Furthermore, while the volume of UK goods exported to the EU has fallen (-14% between 2019 and 2025), the EU continues to be the country's largest trading partner, accounting for around 41% of its goods and services exports, underscoring the significance of geographical proximity in international trade.

The situation is similar from a regulatory perspective

The UK has carved out its own path in targeted sectors – most notably through the Edinburgh Reforms aimed at financial and banking services, as well as a more flexible regulatory framework for artificial intelligence compared to that of the EU. However, aside from these initiatives, the overall divergence in regulation remains limited: only a third of the 6,800 European texts that were incorporated into UK law have been amended or repealed. With the exceptional framework (REUL Act) expiring on 23 June, any future amendments will have to follow the standard parliamentary procedure, which is longer and more restrictive, likely slowing the pace of divergence from European standards.

Finally, regarding immigration, the desire to regain control over borders has been achieved through the introduction of a points-based immigration system and the end of free movement for Europeans within the UK. Consequently, the net migration balance from the EU plummeted following the referendum, becoming negative by 2022. However, this new system has not led to an overall reduction in immigration. In fact, immigration from non-EU countries increased massively (with total net migration reaching a record high in 2023), before a tightening of regulations led to a decline in 2025, though remaining above pre-Brexit levels (Chart3). Thus, the UK has regained control over migration channels yet has not reduced total migration flows.

A significant economic cost

In 2018, the Office for Budget Responsibility (OBR) projected a 4% decrease in productivity and a 15% reduction in trade over the long term – projections it then reaffirmed in 2024. These figures are corroborated by an NBER study (2025), which found that the UK's GDP is currently 6-8% lower than it would have been had the UK not left the EU. The same study revealed that investment, employment and productivity levels are also lower than they would have been without Brexit, with investment shortfalls ranging from -12% to -18%, and employment and productivity deficits between -3% and -4%. This trend is illustrated by the disparity in real GDP between the UK and the EU27 (Chart1), as well as the growth rates of exports (+3.8%) and imports (+4.9%) between 2021 and 2025, which lag behind those of similar economies (Chart4). As a result, uncertainty and trade barriers have had measurable effects on growth.

The UK still benefits from structural advantages that existed prior to Brexit and remain relevant

The effects of Brexit differ across various sectors and regions. The UK remains an attractive destination for foreign direct investment, especially in financial services, technology and artificial intelligence. This is largely due to more flexible regulations in these sectors compared to the EU (a flexibility that existed prior to Brexit and has since been further enhanced, particularly regarding prudential regulations), a deliberately pro-innovation government policy (evidenced by the AI Opportunities Action Plan and the regulatory sandbox), as well as inherent structural strengths (the robustness of its financial and technological ecosystems, its skilled workforce, and its language and time zone advantages, which facilitate bridges to North American and Asian markets).

This combination of factors has supported business investment (Chart2), the only area where the UK has managed in recent years to partially close the gap that had opened with the EU (while the Draghi report highlighted that excessive regulation has penalized such investment within the EU).

A strategic pivot toward the European Union

The UK is now seeking a rapprochement with the European Union. The bilateral summit on 19 May 2025, the first since Brexit, culminated in a joint declaration, a security and defence partnership, and a roadmap aimed at strengthening cooperation in several areas. Concrete progress has already been made, such as the extension of the fisheries agreement, discussions on the alignment of carbon markets, and a proposal for a common sanitary and phytosanitary area (with dynamic regulatory adjustments) to remove trade barriers in this sector. Furthermore, the UK is currently negotiating for broader access to specific European programmes as a third country, notably the SAFE defence fund and the European Industrial Accelerator Act. The forthcoming bilateral summit, to be held on 22 July, should help to advance these discussions. This strategic shift is a response to an increasingly challenging international environment, characterised by escalating geopolitical tensions, heightened economic rivalries, and energy and climate issues. It would also help to ease the economic friction caused by Brexit, capitalising on the fact that the majority of the British public is now dissatisfied with Brexit and largely in favour of the country rejoining the EU.

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EcoFlash

Reopening of the Strait of Hormuz: the oil market between short-term relief and persisting uncertainties

The United States and Iran have reached an agreement to extend the ceasefire by 60 days and gradually reopen the Strait of Hormuz to traffic. The oil markets reacted swiftly: Brent prices have fallen by around 7% since the announcement and by 32% from a peak reached on 29 April. However, they remain 27% above the average for January. Despite this optimism, a comeback to normality for the oil market is likely to take several weeks.

The reopening of the Strait of Hormuz will not be immediate

Technical and logistical constraints remain. Although various measures have been taken in recent weeks to increase traffic through the strait, around 500 vessels are currently stuck to the west of the passage. Clearing the area of mines is a prerequisite for the resumption of smooth traffic flow. Furthermore, it will take several weeks to restore all oil facilities to working order, or even months in the case of Iraq (OPEC's second-largest producer).

Limited downward impact on European inflation

According to a relatively optimistic scenario, the fall in oil prices is expected to continue. Oil prices could fall quite rapidly and significantly in the short term, settling within a range of USD 70 to 80 per barrel. Indeed, additional oil inflows implied by the reopening of the Strait of Hormuz will meet a market characterized by a demand, which had been negatively impacted by the crisis, particularly in Asia, which is the region most dependent on Middle Eastern hydrocarbons. An initial assessment of the macroeconomic consequences of this agreement could lead us to revise downwards the contribution of energy to *headline* inflation in the Eurozone by around a quarter of a percentage point for 2026. This decline in the contribution of energy could become more pronounced in 2027.

Short-term risks linked to the build-up of imbalances in the oil market

However, the short-term outlook remains uncertain. This agreement is only the beginning of a difficult negotiation process where both parties seem unlikely to compromise. In this context, a resurgence of sporadic tensions in the event of a breakdown in talks would disrupt the resumption of traffic through the Strait.

Moreover, this agreement has been signed at a time where the balance of the global oil market is precarious and seems increasingly unsustainable. Since the first ceasefire agreement last April, two factors have helped to cushion the impact of the market's net loss of around 7 million barrels per day: 1/ a rapid acceleration in the drawdown of strategic oil reserves within the OECD (primarily in the United States, where the weekly drawdown averaged 8 m/b in May), 2/ a significant fall in Chinese imports, which reached their lowest level in a decade in May. These buffers are not sustainable, and the International Energy Agency anticipates reserves reaching a critical level during July. This would have a significant upward impact on oil prices.

Persistent tensions in the European gas market

In the European gas market, this agreement is pushing prices downwards but against a backdrop of persistent tensions. The resumption of liquefied natural gas (LNG) flows will ease the pressures on the gas market, which have already been reduced by the coming on stream of additional liquefaction capacity (notably in the United States). However, the fall in prices is expected to remain limited. Around 17 per cent of Qatar's production capacity (20 per cent of global LNG trade) has been damaged. Furthermore, in Europe, demand is being driven by the ongoing stock-building campaign. We must also consider the strong demand during the summer from the Asian gas market, which is correlated with the European market.

Pascal Devaux (with the help of Clara Ngo Ba Do, intern)
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The scenario, forecasts and nowcasts of the Economic Research – 15 June 2026

NOWCASTS OF THE ECONOMIC RESEARCH

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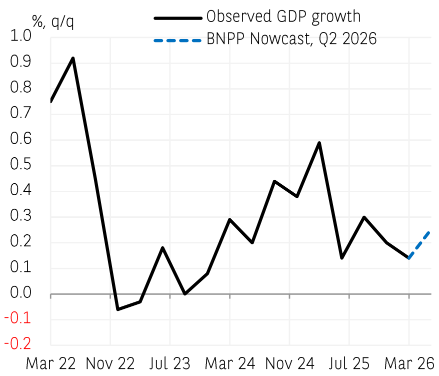
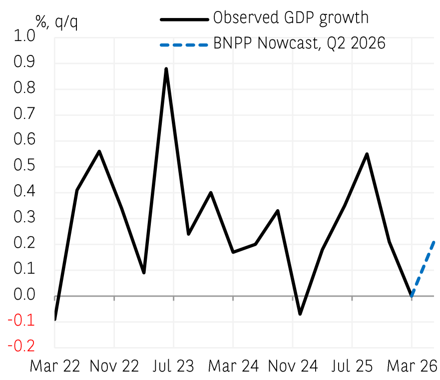


Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, against a forecast of 0.3% q/q.

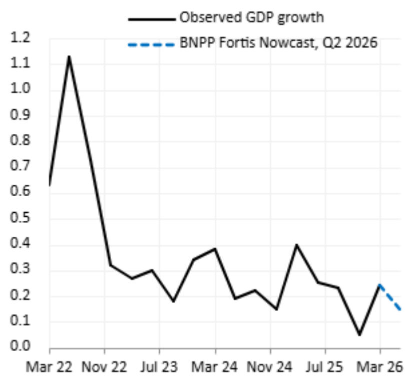
France



Source: Refinitiv, BNP Paribas

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Belgium



Source: Refinitiv, BNP Paribas

Our *nowcast* for Q2 Belgium GDP growth suggests a slight deterioration (0.15% q/q) from Q1. The momentum in the manufacturing sector is proving more resilient than first feared. Costs are rising faster than previously expected, especially in the service sector.

Read the Nowcast methodology

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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth 2024	GDP Growth 2025	GDP Growth 2026 e	GDP Growth 2027 e	Inflation 2024	Inflation 2025	Inflation 2026 e	Inflation 2027 e
United States	2.8	2.1	2.3	2.4	2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.5	0.7	2.7	3.1	2.3	3.1
United Kingdom	1.0	1.4	1.0	1.2	2.5	3.4	3.4	3.3
Euro Area	0.9	1.5	0.6	1.6	2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1	2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1	2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8	1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2	2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5	0.2	0.0	1.3	1.4
India*	7.1	7.7	6.6	6.8	4.6	2.1	5.1	4.2
Brazil	3.4	2.3	2.3	1.4	4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)
Last update: 15/06/2026
* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 12/06	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
	T-Note 10y	4.48	4.55	4.65	4.75	4.85
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.00	3.15	3.20	3.35	3.10
	OAT 10y	3.65	3.77	4.00	4.17	3.60
	BTP 10y	3.73	3.85	3.95	4.10	3.60
	BONO 10y	3.42	3.57	3.64	3.79	3.42
UK	Base rate	3.75	3.75	4.25	4.25	3.50
	Gilts 10y	4.85	4.70	4.60	4.50	4.30
Japan	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.62	2.70	2.85	2.85	3.10

Exchange Rates		2026				2027
End of period		Spot 12/06	Q2	Q3	Q4	Q4
USD	EUR / USD	1.16	-	1.15	1.16	1.20
	USD / JPY	160	-	163	165	165
	GBP / USD	1.34	-	1.32	1.32	1.36
EUR	EUR / GBP	0.86	-	0.87	0.88	0.88
	EUR / JPY	185	-	187	191	198

Brent		2026				2027
Quarter Average		Spot 12/06	Q2	Q3	Q4	Q4
Brent	USD/bbl	87	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy), Last update: 15/06/2026

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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.3%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.7% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to implement one rate hike (+25pb) and bring the Fed Funds target range at 3.75% - 4.0% by year-end.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland’s GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before rebounding at 1.6% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB’s policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, another 25-basis-point hikes in the ECB’s policy rate – following June’s increase – would take place in Q3 2026 pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.4% in 2025; following +0.4% q/q in Q1, growth dipped to -0.1% m/m in April, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.4% y/y, and to remain sticky and well above BoE's target at +3.3% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy’s overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of “adjustment in the degree of monetary accommodation” in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.

Paris, 11 June 2026

BNP PARIBAS

The bank for a changing world

EcoFlash

ECB: An adjustment, but not necessarily the start of a tightening cycle

As expected, the European Central Bank raised its key interest rates by 25 basis points, bringing the deposit facility rate to 2.25%. This decision, taken unanimously, reflects the Governing Council's conviction that the persistence of the energy shock warrants a monetary policy response. The ECB revised its inflation outlook upward more significantly than its growth forecasts downward. It also updated its alternative scenarios relative to the central scenario (one more favorable, two adverse). Christine Lagarde emphasized that today's decision was "robust" across all scenarios.

The persistence of inflation at the heart of the ECB's concerns. During the Q&A session, Christine Lagarde confirmed that the decision to raise rates was unanimous, unconditional, and that no alternative proposal was discussed during the meeting. The ECB President reiterated that future decisions will be made "meeting by meeting," based on available data and without a pre-set rate path. A new favorable scenario ("mild"), deemed unlikely, was added alongside the existing three scenarios (central, adverse, and severe). The severe scenario, in which inflation would deviate significantly and durably from the target, would call for an "appropriate and decisive" response. The communication framework has clearly evolved since the April meeting, with a stronger focus on the persistence of the inflationary shock rather than solely on the levels reached. Nevertheless, as Lagarde noted, long-term inflation expectations remain broadly well anchored around the 2% target – a reassuring signal for the ECB.

Upward revisions to inflation projections, with more persistent pressures. The ECB's new inflation projections for 2026 now sit midway between the central and adverse scenarios outlined in March. They reflect a combination of durably higher energy prices and more pronounced second-round effects, largely confined to food and industrial goods (excluding energy). The headline HICP inflation forecast has been raised to 3.0% (from 2.6%) for 2026 and to 2.3% (from 2.0%) for 2027. Core inflation is expected at 2.5% for both 2026 and 2027 (compared to 2.3% and 2.2% respectively). While our own forecasts for 2026–2027 incorporate a rise in core inflation in line with the ECB's projections, we anticipate more persistent pressures on agricultural and energy prices in 2027 (particularly gas/TTF prices). These translate into a higher total inflation forecast of 3.3% for 2027.

More limited growth revisions against a backdrop of resilience. The ECB's downward revisions to GDP growth are modest (-0.1 pp for both 2026 and 2027, to 0.8% and 1.2% respectively). The ECB expects some resilience in growth, supported notably by investment efforts in infrastructure, digital, and defence – the same pillars underpinning our recovery profile for activity in 2027 (1.6%).

Another rate hike expected, likely in September. At this stage, forward-looking price indicators (European Commission surveys and PMIs) confirm a gradual transmission of the energy shock to other sectors. However, the transmission remains less significant than what was observed in 2022 and still only marginally affects finished goods. The emergence of a price-wage spiral appears, for now, unlikely, as wage pressures should remain contained in 2026. The ECB anticipates a slowdown in compensation per employee growth to 3.2% in 2026, followed by stabilization at that level in 2027–2028, consistent with the 2% inflation target. In this context, we maintain our scenario of one additional 25 bp rate hike, most likely in September, followed by a plateau in 2027.

Article completed on June 11, 2026

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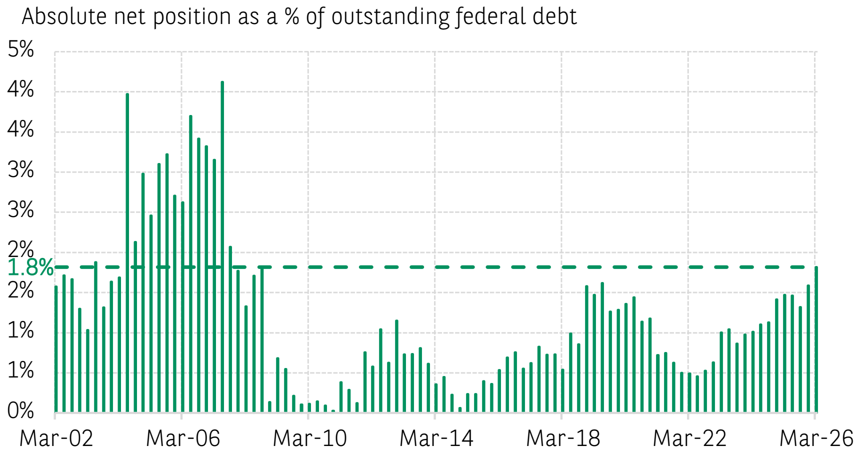
THE US REGULATORY EASING OFFERS LIMITED SUPPORT TO THE TREASURIES MARKET

Céline Choulet

Primary dealers' Treasury inventories reach their highest level since 2008



SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

A relaxation in regulations that supports Treasury market intermediation

Last year, the need to recalibrate the enhanced supplementary leverage ratio (eSLR) imposed on global systemically important banks (G-SIBs) rose to the top of American regulators' agenda[1]. The leverage constraint was on the verge of becoming more binding than risk-weighted capital requirements. It risked preventing – or even discouraging – major banks from fulfilling their role as intermediaries in the Treasury market, an undesirable situation in normal times and even more so during periods of stress. Under the new formula in effect[2], the eSLR requirements for the eight US G-SIBs now range from 3.5% to 4.25% as of 1st January[3], compared to the previous uniform 5% requirement[4].

As regulators had hoped, this easing has improved intermediation conditions in the Treasury market. Amid heightened uncertainty driven by the Iran conflict, it has enabled major banks to absorb some of the Treasuries without buyers. This is evidenced by higher net positions among primary dealers – most of which are G-SIB subsidiaries – which reached 1.8% of outstanding federal debt in March and April, the highest level since the 2008 financial crisis. In conjunction with the Federal Reserve's Reserve Management Purchases and the Treasury's buyback programmes, the easing of leverage requirements has helped to preserve liquidity in the Treasury market and contributed to lower interest rates in the repurchase agreement markets.

However the capacity to absorb federal debt is still limited

Conversely, the eSLR easing has not triggered the expected surge in demand for these securities. While G-SIBs' trading portfolios – hosting securities held by their broker-dealer subsidiaries – have expanded, their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged. Multiple constraints have thwarted the Secretary of the Treasury's hoped-for surge in demand, including the eSLR requirement itself. It is still binding, or near-binding, for major G-SIB depository subsidiaries. Yet, G-SIBs' Treasury investment portfolios are predominantly booked on the balance sheets of these subsidiaries. The proposed reform of G-SIB capital surcharges (still under consideration) may further support Treasury market liquidity, but it will not fully alleviate balance sheet constraints[5].

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1 A leverage ratio is a non-risk-weighted capital requirement designed to ensure that a bank's size – regardless of its risk profile – does not exceed a certain multiple of its capital. See Bensaidani, A. and Choulet, C. (2025), The US Treasuries Market, An Idol with Feet of Clay – Oiling the Wheels, EcoInsight, BNP Paribas.
2 The new eSLR requirement has been aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated under the Financial Stability Board's method.
3 The effective date of the new eSLR rule was set for 1st April 2026, but banks were permitted to adopt it early as of 1st January 2026.
4 The buffer for their depository institution subsidiaries is capped at 1%, so their eSLR requirement cannot exceed 4% (down from the previous 6% requirement).
5 See Choulet C. (2026), *A drop of oil in the Treasuries market's gears*, forthcoming in EcoInsight.

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